

June 9, 2026 03:00 AM GMT

Staffers | Europe

Uncertain environment leaves downside risk to permanent recruitment

Uncertain backdrop and labour market data point to risk of further deterioration of perm, a drag on top-line growth, gross margin and operating leverage across the space. Prefer Randstad (EW) vs Adecco (UW) in this context for its lower leverage and limited dilution risk, and Hays (EW) vs Page Group (UW).

Why are we writing now? Despite the recent improvement in organic growth across the staffing space, mainly driven by better temporary staffing, we reiterate our cautious stance on the sub-sector. The macroeconomic and geopolitical environment has become more uncertain and could take a toll on the recruitment/staffing market, something we think has not yet been fully reflected in consensus expectations. Concerns over the AI risk in the mid term also remain and could continue to weigh on valuation, together with short-term macro headwinds.

Risk to perm limits the upside. The lack of positive share-price reaction to recent organic growth beats across the space suggests investors are looking for gross margin recovery and better operating leverage to turn more positive. However, we believe the macro/geopolitical backdrop and recent labour market data point to a risk of further deterioration of perm recruitment, which would in turn continue to put pressure on staffers' gross margin and operating profit. We therefore see limited positive catalysts for staffing names to re-rate over the coming earnings season.

Re-shuffling ratings. We update our order of preference within our staffing coverage. Within generalist staffing, we shift our preference to **Randstad (EW)** over **Adecco (UW)** on larger downside risk to expectations for the latter, combined with elevated leverage and risk of potential shareholder dilution from scrip dividend. We also **neutralise our rating on Hays to EW and reiterate our UW on Page Group**, which has the largest exposure to perm recruitment and higher risk of additional dividend cuts, in our view.

MORGAN STANLEY & CO. INTERNATIONAL PLC+

Remi Grenu
Equity Analyst
Remi.Grenu@morganstanley.com +44 20 7425-0552

Annelies Vermeulen
Equity Analyst
Annelies.Vermeulen@morganstanley.com +44 20 7425-4367

Zachariah Al-Qaryooti
Research Associate
Zach.Al-Qaryooti@morganstanley.com +44 20 7425-2400

BUSINESS SERVICES		
Europe		
Industry View	Attractive	
WHAT'S CHANGED		
Adecco Group (ADEN.S)	From	To
Rating	Equal-weight	Underweight
Price Target	SFr 20.50	SFr 15.00
Randstad NV (RAND.AS)	From	To
Rating	Underweight	Equal-weight
Price Target	€26.00	€25.50
Page Group PLC (PAGE.L)	From	To
Price Target	195p	110p
Hays PLC (HAYS.L)	From	To
Rating	Underweight	Equal-weight
Price Target	44p	35p

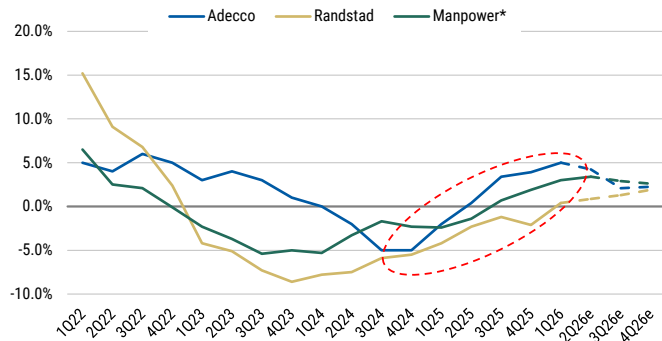
Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

+ = Analysts employed by non-U.S. affiliates are not registered with FINRA, may not be associated persons of the member and may not be subject to FINRA restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

Investment case in charts

Exhibit 1: Staffers' organic growth has recovered, mainly driven by temp...



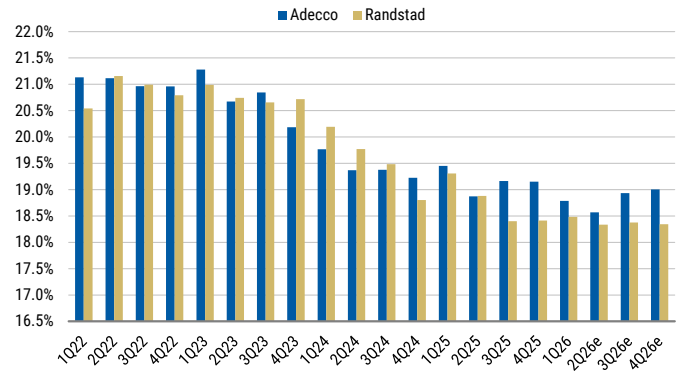
Source: Company data, Morgan Stanley Research estimates

Exhibit 3: Indeed job postings have continued to deteriorate...

Indeed Job Postings data	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
France	120.7	117.6	114.1	111.7	110.5	106.8	105.6	104.2	104.4	108.8	104.7	97.0	96.7
Germany	122.4	120.2	115.9	114.6	116.1	116.1	115.6	114.7	114.3	113.5	111.8	109.3	110.4
UK	78.0	77.5	77.1	75.8	75.1	75.3	76.3	77.1	75.2	76.6	76.3	71.2	70.3
US	105.9	105.2	104.3	104.8	102.8	101.0	101.3	102.9	103.3	104.6	104.1	102.7	102.0
Australia	148.5	150.6	151.0	148.6	148.9	149.7	148.8	146.9	153.1	163.0	161.9	151.4	152.7

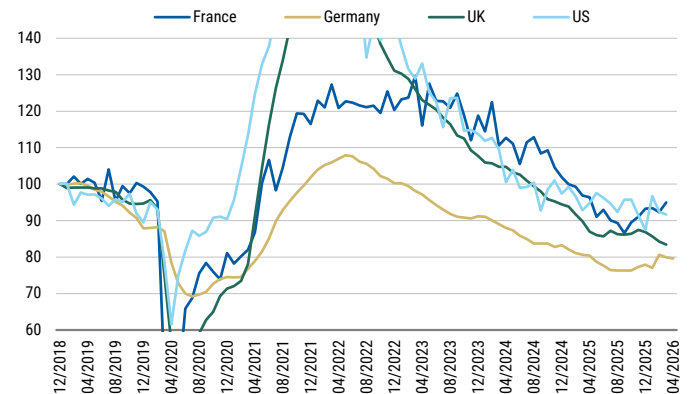
Source: Indeed, Morgan Stanley Research

Exhibit 2: ... but gross margins remain under pressure



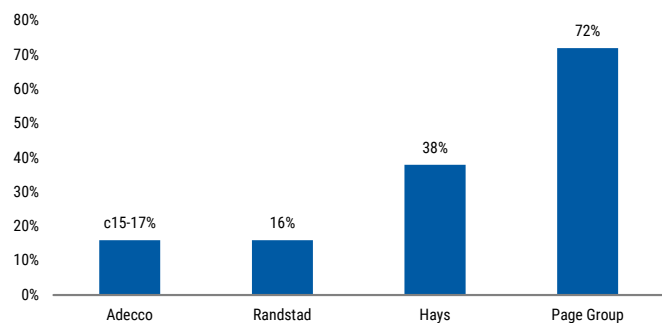
Source: Company data, Morgan Stanley Research estimates

Exhibit 4: and so have job vacancies in key recruitment markets



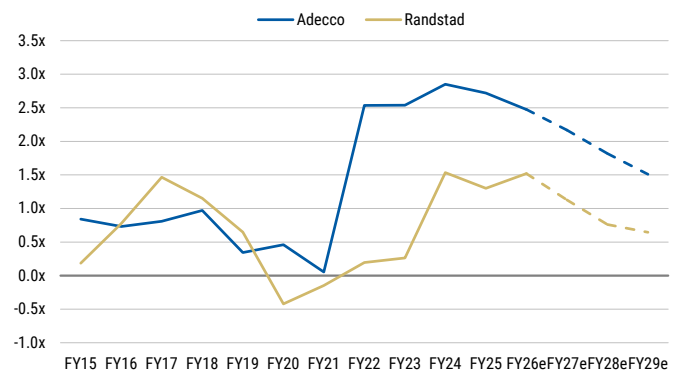
Source: ONS, BLS, INSEE, Bundesbank

Exhibit 5: Staffing exposure to permanent recruitment (% of gross profit)



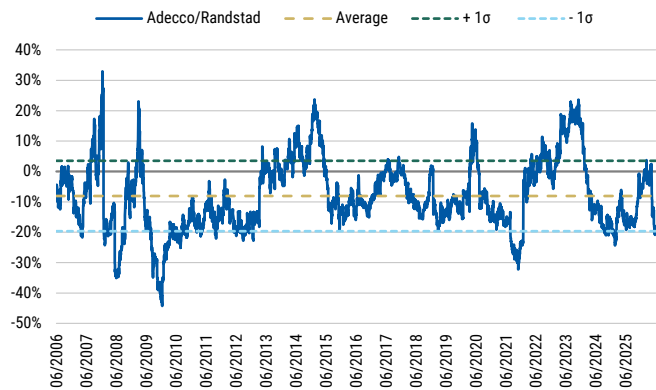
Source: Company data, Morgan Stanley Research

Exhibit 6: Adecco's financial leverage compared to Randstad's



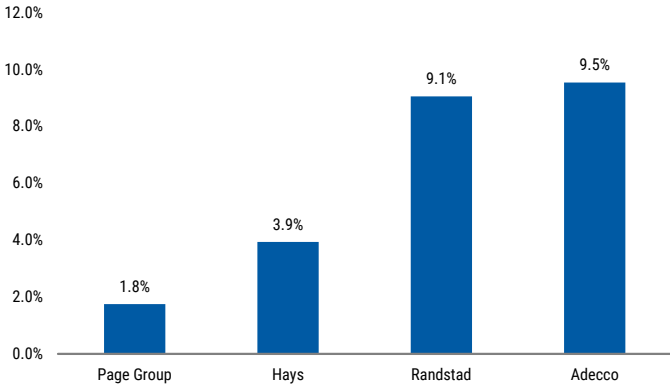
Source: Company data, Morgan Stanley Research estimates

Exhibit 7: Adecco EV/EBIT valuation relative to Randstad



Source: Datastream

Exhibit 8: Staffing coverage FCF yield valuation



Source: Morgan Stanley Research estimates

Business services order of preference

Exhibit 9: Business services: order of preference

	Company	Market cap (bn)	Share Price	MS PT	Upside to Price Target	Valuation (CY 2026)					Share price performance			
						P/E	EV / EBITDA	Div. Yield	Net Debt / EBITDA	FCF Yield	-1M	-3M	-6M	-12M
Overweight	 experian	£24.1	2,620p	4,100p	56.5%	17.8x	11.4x	2.2%	1.7x	4.5%	-2.2%	-4.9%	-21.2%	-31.2%
	 santitas	€11.3	€25.6	€35.0	36.6%	16.4x	9.9x	4.0%	1.6x	6.6%	-3.3%	-11.4%	-4.0%	-14.6%
	 verisure	€11.4	€11.0	€18.5	68.5%	19.4x	8.6x	0.6%	2.7x	1.9%	0.8%	20.9%	-25.1%	-
	 DIPLOMA PLC	£9.5	7,020p	8,250p	17.5%	29.2x	19.9x	0.9%	0.8x	3.3%	0.6%	31.0%	28.0%	51.0%
	 Rentokil Initial	£11.2	442p	570p	28.8%	20.4x	9.7x	2.1%	1.8x	6.3%	-10.4%	-6.1%	4.0%	26.4%
	 SPIE	€8.2	€48.3	€53.0	9.6%	14.8x	9.5x	2.7%	1.8x	7.7%	-3.1%	-4.2%	2.4%	7.8%
	 RS	£3.0	649p	790p	21.7%	15.7x	9.4x	3.8%	1.0x	5.5%	6.9%	-1.7%	4.1%	13.9%
	 SUNBELT RENTALS	\$33.9	\$79.4	\$85.0	7.1%	19.1x	8.4x	1.4%	1.6x	12.4%	5.9%	5.8%	-	-
	 elis	€6.7	€25.8	€31.5	21.9%	12.8x	5.2x	2.0%	1.7x	6.3%	-3.9%	4.6%	8.4%	10.0%
	 ISS	DKK42.6	DKK252	DKK300	18.9%	12.3x	8.6x	1.6%	2.4x	7.7%	0.4%	16.6%	21.7%	44.8%
Equal-weight	 FERGUSON	\$45.3	\$230	\$290	26.3%	20.8x	13.6x	1.6%	0.7x	5.2%	-9.2%	-5.5%	-8.8%	8.7%
	 SGS	SFr 16.7	SFr 89.5	SFr 102	14.0%	22.0x	10.8x	3.6%	1.9x	5.5%	4.7%	-4.0%	-1.2%	5.5%
	 eurofins	€12.0	€64.9	€67.5	4.0%	15.1x	8.8x	1.3%	1.9x	7.0%	10.5%	-1.1%	10.4%	14.0%
	 P	€3.5	€59.2	€56.0	-5.5%	4.3x	3.5x	7.7%	1.7x	23.3%	-6.8%	1.9%	-1.4%	-34.6%
	 IMCD	€5.3	€88.9	€105	18.1%	15.5x	11.7x	2.1%	2.5x	7.4%	-11.2%	21.5%	16.1%	-23.9%
	 azelis	€2.5	€10.4	€12.0	15.4%	17.5x	8.7x	1.7%	3.2x	10.7%	-7.6%	33.8%	10.4%	-25.2%
	 Travis Perkins	£1.2	543p	685p	26.2%	19.4x	6.0x	1.9%	2.3x	-0.6%	2.6%	-13.0%	-13.1%	-11.7%
	 BUNZL	£8.0	2,470p	2,550p	3.2%	14.0x	8.7x	3.1%	1.8x	5.2%	1.0%	10.6%	14.8%	8.0%
	 randstad	€4.7	€27.4	€25.5	-6.8%	10.8x	6.2x	5.9%	1.6x	8.2%	8.8%	1.5%	-15.6%	-24.7%
	 HAYS	£0.6	35p	35p	0.8%	24.4x	4.7x	1.6%	NM	1.5%	3.8%	-10.6%	-35.9%	-50.5%
Underweight	 BRENNTAG	€8.6	€56.8	€52.0	-8.5%	17.1x	8.9x	3.5%	2.3x	2.8%	-9.6%	20.1%	15.5%	-6.5%
	 THE ADECCO GROUP	SFr 2.7	SFr 16.6	SFr 15.0	-9.4%	8.3x	5.9x	5.9%	2.5x	9.5%	-6.7%	-21.4%	-24.6%	-26.1%
	 PageGroup	£0.4	123p	110p	-10.4%	31.5x	5.1x	4.2%	NM	2.2%	-7.3%	-19.2%	-48.0%	-54.6%
	 Securitas	SEK89.4	SEK156	SEK125	-19.9%	12.5x	9.1x	4.4%	2.1x	6.9%	0.3%	-1.5%	8.1%	9.8%

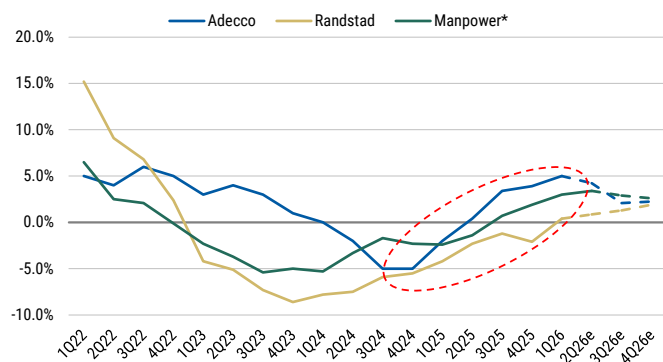
Source: Thomson Reuters, Morgan Stanley Research estimates, Priced as at 5th June 2026

Temporary staffing better, but not enough to drive upside to expectations

Market focus on operating leverage rather than organic growth

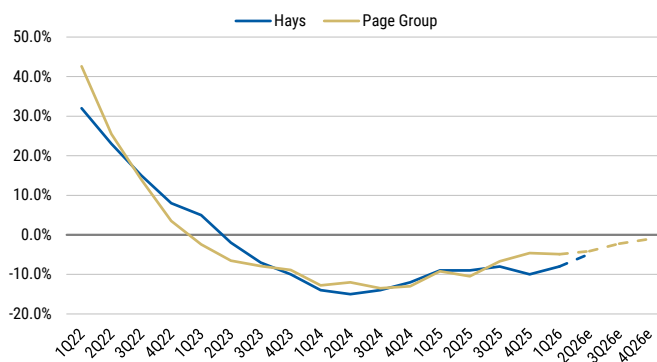
While organic growth remains negative or relatively soft across the board (except at Adecco), it has gradually improved over the last few quarters (see [Exhibit 10](#) and [Exhibit 11](#)). This was driven in part by the easier comparison base, but also by a recovery in the temp staffing market, while permanent recruitment has remained subdued. Despite this stabilisation in volume and organic growth, staffing stocks have remained under pressure and have de-rated significantly ytd. While the timing for an inflection in staffing volumes was the main debate a few quarters ago, the debate has now refocused on continued gross margin decline and lack of operating leverage as revenues have started to grow again.

Exhibit 10: Organic growth of generalist staffers (Adecco, Manpower, Randstad)



Source: Company data, Morgan Stanley Research estimates, *Visible Alpha consensus for Manpower 2Q/3Q/4Q26

Exhibit 11: Organic growth of specialist staffers (Hays, Page Group)



Source: Company data, Morgan Stanley Research estimates

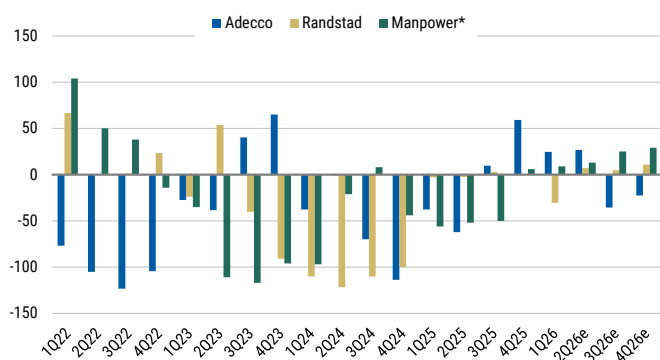
In that sense, we think Adecco's recent results were a wake-up call for the market (hence the magnitude of share price reaction on the day, -17%), with the 2Q26 outlook combining (1) a pause to the organic growth improvement, with guidance pointing to 4-5% vs 5% in 1Q26 in our view, (2) continued significant pressure on gross margin, which management expects to be down -20bps sequentially and -40bps yoy, and (3) an increase in operating costs. We think this was negative on three counts and made the market realise that:

- **There is a risk that Adecco's organic growth recovery is short-lived and that it deteriorates again as the comparison base gets tougher through the rest of the year**, especially as the outlook for perm recruitment and Akkodis has become more uncertain following a slightly disappointing 1Q26.
- Gross margin deterioration has been ongoing for 2 years, with management of all staffing companies claiming activity, geographic and client mix, as the reasons for the decline. Each additional quarter of weakness is likely to reinforce investors' view that pricing competition could also be one of the drivers. Given Adecco's

gross margin outlook for 2Q26, **we think the next earnings season is unlikely to represent the positive catalyst required to reassure investors on the pricing/gross margin debate.**

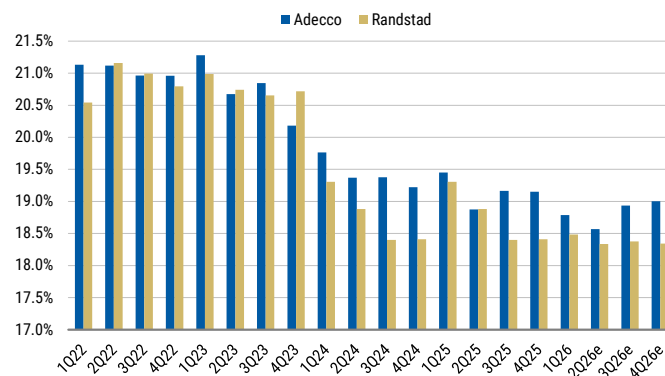
- When we published our note on the AI risk for staffers, we highlighted that one of the potential upside risks was the ability of staffing companies to harness the AI-led efficiency gains – in other words reduce their operating cost base and become structurally more profitable. This potential positive was also flagged by Adecco and Randstad management teams, who previously said they thought they had a leaner cost structure thanks to recent efforts and would be able to deliver higher volume of activity with a limited increase in resources. **We think Adecco's 2Q26 outlook for higher SG&A reflects the necessity to add resources as volumes grow, as expected through the rest of the year vs FY25, and that this may mean consensus/investors have previously been too optimistic on the group operating leverage.**

Exhibit 12: yoy changes in operating margin for generalist staffers (Adecco, Manpower, Randstad)



Source: Company data, Morgan Stanley Research, *Visible Alpha consensus for Manpower 2Q/3Q/4Q/26

Exhibit 13: Gross margin evolution at generalist staffers



Source: Company data, Morgan Stanley Research

While Adecco and Randstad management teams have continued to explain that the negative impact on gross margin is driven entirely by an adverse mix effect, **a concern among investors is that it also reflects pressure on pricing.** If this is the case, it would have a negative impact on the staffers' ability to deliver sustainable operating leverage and would be a concern for those business models delivering very thin operating margins.

Risk of organic growth recovery stalling

We see multiple risks to the recent – and fragile – improvement in organic growth across staffing companies. While consensus continues to expect better organic growth through the coming quarters – reflecting a gradual recovery coming out of a 3-year period of volume pressure – we think there is a risk of this recovery stalling for several reasons.

First, **the macro and geopolitical backdrop has become more uncertain** due to the Middle East conflict and associated higher energy prices. While we believe this could support temp staffing in the short term (as corporates continue to refrain from recruiting on a permanent basis and favour the flexibility of temp), should the conflict drag for longer and energy prices remain higher for longer, our economists expect it could have a negative impact on GDP growth (see the most recent outlook [here](#)). Staffing is highly

cyclical, suggesting a risk of volume deterioration in such a scenario. We note that Leading/ confidence indicators have deteriorated in several key staffing markets over the last two months, including France, Germany, the US, the UK and Spain (see [Exhibit 14](#)).

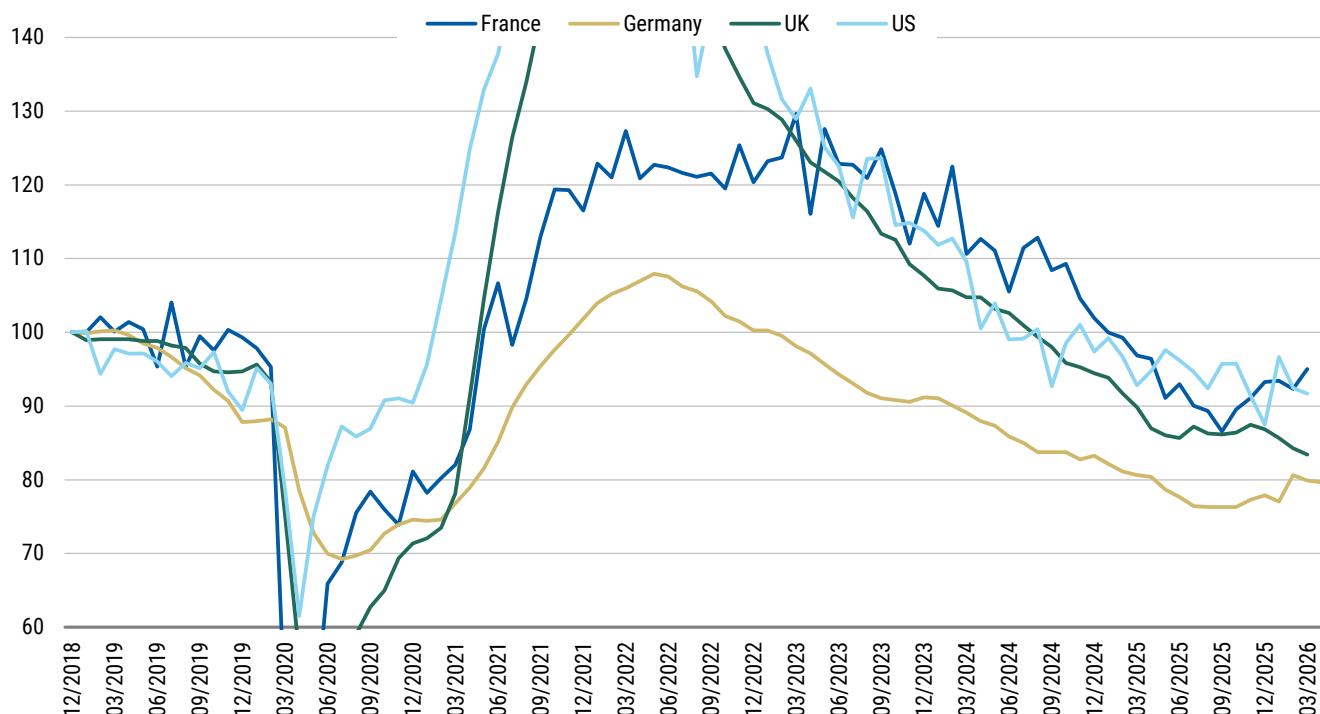
Exhibit 14: PMI indicators for key staffing markets

PMI DATA	Apr-24	May-24	Jun-24	Jul-24	Aug-24	Sep-24	Oct-24	Nov-24	Dec-24	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
France																										
French Composite PMI	50.5	48.9	48.8	49.1	53.1	48.6	48.1	45.9	47.5	47.6	45.1	48.0	47.8	49.3	49.2	48.6	49.8	48.1	47.7	50.4	50.0	49.1	49.9	48.8	47.6	44.9
French Composite Employment PMI	52.2	51.2	50.6	50.2	49.8	50.3	49.8	50.4	48.0	47.4	46.5	48.6	48.4	49.2	49.1	48.8	52.3	50.5	51.2	49.5	50.2	50.7	50.6	49.6	50.2	47.0
French Manufacturing PMI	45.3	46.4	45.4	44.0	43.9	44.6	44.5	43.1	41.9	45.0	45.8	48.5	48.7	49.8	48.1	48.2	50.4	48.2	48.8	47.8	50.7	51.2	50.1	50.0	52.8	49.7
French Service PMI	51.3	49.3	49.6	50.1	55.0	49.6	49.2	46.9	49.3	48.2	45.3	47.9	47.3	48.9	49.6	48.5	49.8	48.5	48.0	51.4	50.1	48.4	49.6	48.8	46.5	44.3
Germany																										
German Composite PMI	50.6	52.4	50.4	49.1	48.4	47.5	48.6	47.2	48.0	50.5	50.4	51.3	50.1	48.5	50.4	50.6	50.5	52.0	53.9	52.4	51.3	52.1	53.2	51.9	48.4	48.8
German Composite Employment PMI	50.1	50.9	49.0	47.7	47.5	46.3	46.0	46.5	47.3	49.0	47.9	49.3	49.9	48.9	48.9	49.5	48.6	46.9	49.8	48.9	49.1	46.7	47.4	47.6	47.2	47.4
German Manufacturing PMI	42.5	45.4	43.5	43.2	42.4	40.6	43.0	43.0	42.5	45.0	46.5	48.3	48.4	48.3	49.0	49.1	49.8	49.5	49.6	48.2	47.0	49.1	50.9	52.2	51.4	50.1
German Service PMI	53.2	54.2	53.1	52.5	51.2	50.6	51.6	49.3	51.2	52.5	51.1	50.9	49.0	47.1	49.7	50.6	49.3	51.5	54.6	53.1	52.7	52.4	53.5	50.9	46.9	48.1
UK																										
UK Composite PMI	54.1	53.0	52.3	52.8	53.8	52.6	51.8	50.5	50.4	50.6	50.5	51.5	48.5	50.3	52.0	51.5	53.5	50.1	52.2	51.2	51.4	53.7	53.7	50.3	52.6	49.7
UK Composite Employment PMI	50.1	50.6	50.3	52.4	52.1	50.5	48.4	48.9	45.6	45.3	43.5	47.1	45.8	47.2	46.6	45.3	46.5	46.3	44.9	46.7	45.8	46.4	46.9	47.7	47.1	
UK Manufacturing PMI	49.1	51.2	50.9	52.1	52.5	51.5	49.9	48.0	47.0	48.3	46.9	44.9	45.4	46.4	47.7	48.0	47.0	46.2	49.7	50.2	50.6	51.8	51.7	51.0	53.7	53.9
UK Service PMI	55.0	52.9	52.1	52.5	53.7	52.4	52.0	50.8	51.1	50.8	51.0	52.5	49.0	50.9	52.8	51.8	54.2	50.8	52.3	51.3	51.4	54.0	53.9	50.5	52.7	49.3
US																										
US Composite PMI	51.3	54.5	54.8	54.3	54.6	54.0	54.1	54.9	55.4	52.7	51.6	53.5	50.6	53.0	52.9	55.1	54.6	53.9	54.6	54.2	52.7	53.0	51.9	50.3	51.7	51.5
US Composite Employment PMI	48.4	49.9	52.5	51.6	48.6	49.5	49.5	49.4	51.4	54.0	49.4	51.5	50.2	51.6	52.5	51.5	52.1	50.6	51.3	52.0	50.3	50.7	50.4	49.7	50.2	47.9
US Manufacturing PMI	51.1	53.0	52.1	50.5	48.2	47.9	49.2	47.9	47.7	51.8	54.5	48.6	49.6	49.4	53.1	51.3	55.2	52.4	53.7	54.4	53.6	55.2	52.7	53.2	56.0	56.6
US Service PMI	51.3	54.8	55.3	55.0	55.7	55.2	55.0	56.1	56.8	52.9	51.0	54.4	50.8	53.7	52.9	55.7	54.5	54.2	54.8	54.1	52.5	52.7	51.7	49.8	51.0	50.7
Netherlands																										
Netherlands Manufacturing PMI	51.3	52.5	50.7	49.2	47.7	48.2	47.0	46.6	48.6	48.4	50.0	49.6	49.2	49.0	51.2	51.9	51.9	53.7	51.8	51.8	51.1	50.1	50.8	52.0	54.4	55.9
Netherlands Manufacturing Employment PMI	51.6	51.2	51.1	50.5	49.0	49.4	47.8	47.5	49.0	48.6	48.2	47.9	47.3	46.9	50.9	51.9	52.9	53.1	48.9	49.2	50.6	50.5	50.3	49.3	49.1	50.4
Spain																										
Spain Composite PMI	55.7	56.6	55.8	53.4	53.5	56.3	55.2	53.2	56.8	54.0	55.1	54.0	52.5	51.4	52.1	54.7	53.7	53.8	56.0	55.1	55.6	52.9	51.5	52.4	48.7	50.2
Spain Composite Employment PMI	55.0	54.9	54.9	53.3	53.2	55.3	55.9	55.5	54.0	56.5	54.2	55.4	53.4	53.1	52.4	54.7	53.0	51.7	54.0	53.7	53.5	54.1	52.0	52.8	51.9	52.6
Spain Manufacturing PMI	52.2	54.0	52.3	51.0	50.5	53.0	54.5	53.1	53.3	50.9	49.7	49.5	48.1	50.5	51.4	51.9	54.3	51.5	52.1	51.5	49.6	49.2	50.0	48.7	51.7	51.2
Spain Service PMI	56.2	56.9	56.8	53.9	54.6	57.0	54.9	53.1	57.3	54.9	56.2	54.7	53.4	51.3	51.9	55.1	53.2	54.3	56.6	55.6	57.1	53.5	51.9	53.3	47.9	50.1
Italy																										
Italy Composite PMI	52.6	52.3	51.3	50.3	50.8	49.7	51.0	47.7	49.7	49.7	51.9	50.5	52.1	52.5	51.1	51.5	51.7	51.7	53.1	53.8	50.3	51.4	52.1	49.2	50.5	50.4
Italy Composite Employment PMI	53.2	52.7	52.2	51.8	51.4	51.4	49.6	49.4	50.2	48.7	50.5	50.4	50.4	51.2	52.0	51.3	51.2	51.2	50.2	50.2	50.0	50.6	51.5	50.2	50.8	50.6
Italy Manufacturing PMI	47.3	45.6	45.7	47.4	49.4	48.3	46.9	44.5	46.2	46.3	47.4	46.6	49.3	49.2	48.4	49.8	50.4	49.0	49.9	50.6	47.9	48.1	50.6	51.3	52.1	52.9
Italy Service PMI	54.3	54.2	53.7	51.7	51.4	50.5	52.4	49.2	50.7	50.4	53.0	52.0	52.9	53.2	52.1	52.3	51.5	52.5	54.0	55.0	51.5	52.9	52.3	48.8	49.8	49.4

Source: Haver

Second, **we think demand for workers remains subdued in many markets and points to a potential for further deterioration of permanent recruitment**. As illustrated in [Exhibit 15](#), job vacancies – which we think are the best proxy for labour demand – remain below pre-pandemic levels and have failed to show any meaningful inflection in key staffing markets. We think the situation is particularly difficult in the UK (see the latest labour market update from our UK economist [here](#) flagging downside risk), in France, where weaker GDP growth and political uncertainty could be negative, and in Germany, where vacancies have been the weakest since the pandemic and remain below other countries.

We see several other elements that confirm this view of permanent recruitment deterioration. The Indeed job posting data by country shown in [Exhibit 16](#) confirms the weakness of demand for workers, in our view, with a new phase of deterioration over the last two months. Also, we note an increased divergence in trend between improving temp and deteriorating perm in the UK (see [here](#)). We think this is consistent with the most recent comments from Page Group management, who flagged in the company's 1Q26 update that the outlook for the rest of the year has become increasingly uncertain (see [here](#)). **We therefore believe there is a significant risk of further deterioration in perm volume** and that the decline seen in the last 14 quarters, shown in [Exhibit 18](#), could continue at least through the rest of 2026. We show in the next section the exposure of each staffing company, with Page Group most exposed, followed by Hays.

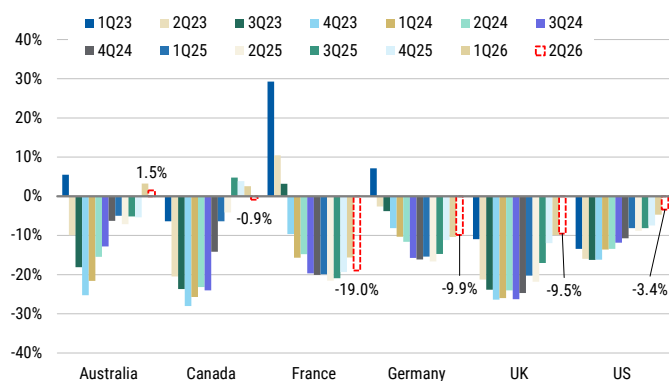
Exhibit 15: Job vacancies in France, Germany, the UK and the US (re-based December 2018)

Source: ONS, BLS, INSEE, Bundesbank

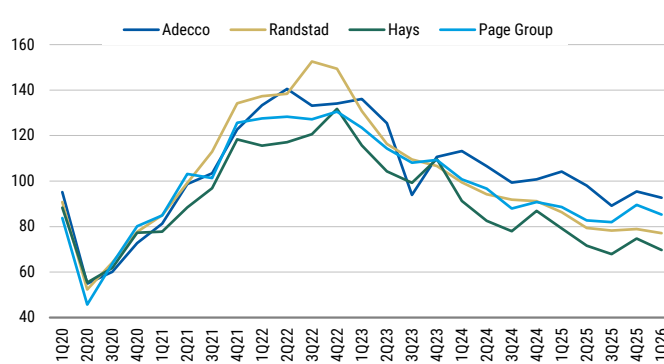
Exhibit 16: Indeed job posting (re-based to 100 in February 2020)

Indeed Job Postings data			Apr-24	May-24	Jun-24	Jul-24	Aug-24	Sep-24	Oct-24	Nov-24	Dec-24	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
France			155.0	152.8	149.1	145.1	141.6	138.6	132.4	130.1	130.1	128.5	125.3	122.8	120.2	120.7	117.6	114.1	111.7	110.5	106.8	105.6	104.2	104.4	108.8	104.7	97.0	96.7
Germany			148.7	147.1	143.2	138.0	135.3	133.1	131.1	129.4	129.6	129.0	126.2	123.8	123.3	122.4	120.2	115.9	114.6	116.1	116.1	115.6	114.7	114.3	113.5	111.8	109.3	110.4
UK			102.5	100.1	97.7	94.4	91.0	89.3	86.8	85.8	87.1	86.7	84.2	82.5	79.2	78.0	77.5	77.1	75.8	75.1	75.3	76.3	77.1	75.2	76.6	76.3	71.2	70.3
US			118.5	115.9	114.2	113.7	113.4	112.4	110.1	109.5	110.3	110.2	109.3	107.8	106.8	105.9	105.2	104.3	104.8	102.8	101.0	101.3	102.9	103.3	104.6	104.1	102.7	102.0
Australia			162.0	161.3	160.5	158.3	157.1	157.5	157.4	157.4	156.1	158.4	155.6	149.0	150.2	148.5	150.6	151.0	148.6	148.9	149.7	148.8	146.9	153.1	163.0	161.9	151.4	152.7

Source: Indeed, Morgan Stanley Research

Exhibit 17: Indeed quarterly job posting yoy growth

Source: Indeed, Morgan Stanley Research

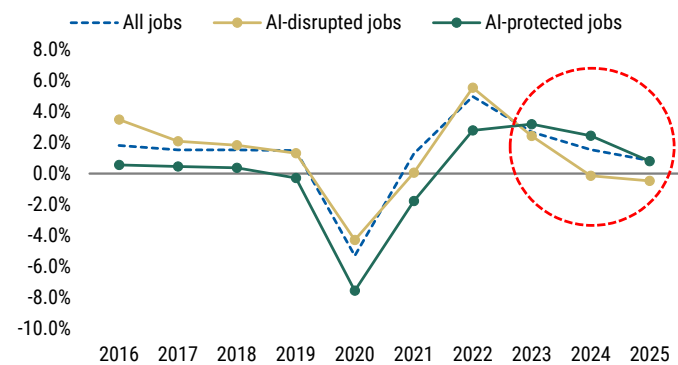
Exhibit 18: Perm recruitment yoy growth

Source: Company data, Morgan Stanley Research

Third, and as described in our note mapping the exposure of staffing companies to the AI risk, we think AI-led automation and productivity gains could be amongst the drivers of the recent decline in volume of perm placement. We previously defined two risks: net job destruction, which would reduce the total staffing addressable market, and disintermediation risk, which would see corporates use AI-powered solutions internally or platforms to find the right candidates. In [Exhibit 19](#) to [Exhibit 21](#), we update the analysis we did at the end of 2025 on diverging demand for labour in jobs considered as AI-

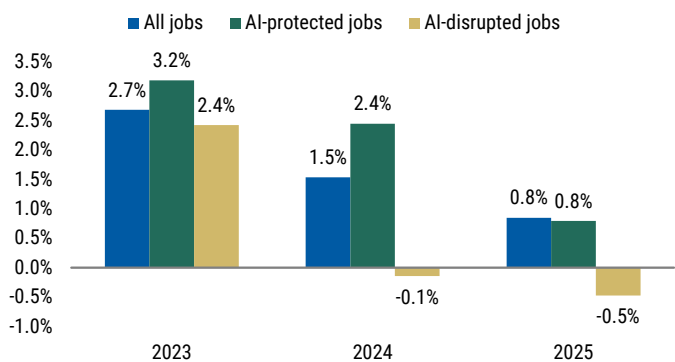
protected and AI-exposed. We conclude that AI-exposed occupations growth has continued to underperform AI protected jobs, for the third year in a row, and after 7 years of uninterrupted outperformance (2016-2022). We also note that the decline in employment in AI-exposed occupations has accelerated; while it grew 2.4% in 2023, it then declined -0.1%/-0.5% in 2024/25 respectively.

Exhibit 19: Number of people employed in AI disrupted vs AI protected jobs, yoy growth



Source: US Bureau of Labor Statistics, US Department of Labor, Occupational Employment and Wage Statistics (2015-2025), Morgan Stanley Research

Exhibit 20: Employment by job type yoy growth in 2023/24/25

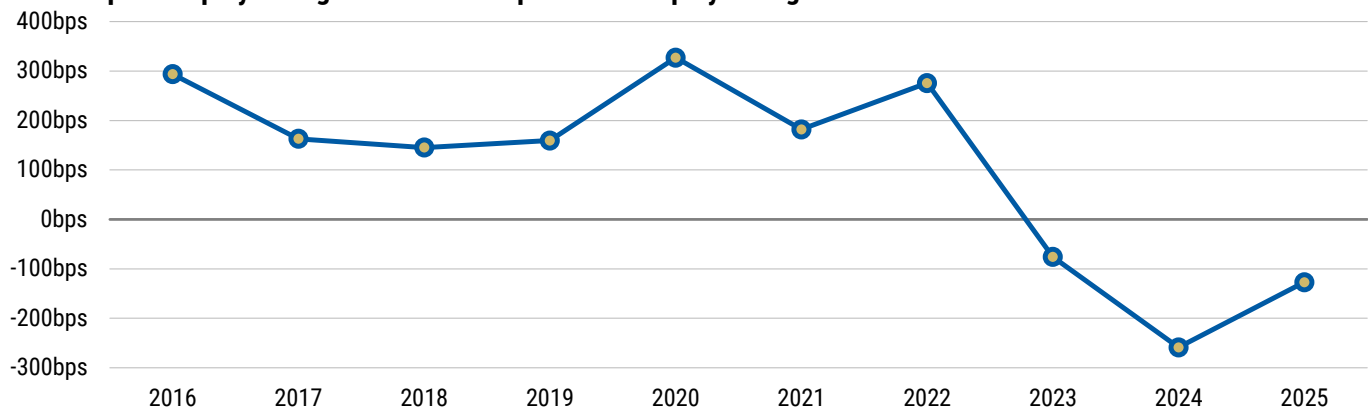


Source: US Bureau of Labor Statistics, US Department of Labor, Occupational Employment and Wage Statistics (2023-2025), Morgan Stanley Research

Exhibit 21:

Employment growth in the AI-disrupted basket consistently outperformed employment growth in the AI-protected basket until the launch of ChatGPT

AI-disrupted employment growth minus AI-protected employment growth



Source: US Bureau of Labor Statistics, U.S. Department of Labor, Occupational Employment and Wage Statistics (2015-2025), Morgan Stanley Research

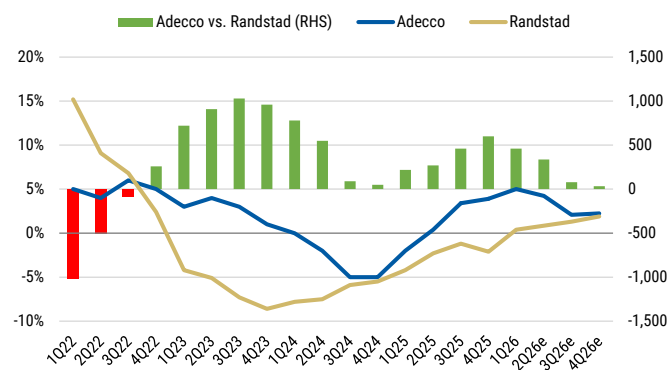
Moving our preference to RAND within generalists, neutralising Hays to EW

We shift our preference to Randstad vs Adecco, but remain cautious on the space

We remain cautious on the entire staffing space due to a combination of the: 1) risk of organic growth deterioration in the short term; 2) debate on gross margin, pricing and operating leverage; and 3) the structural threat to staffers' business model from AI, which we think could weigh on both consensus expectations and valuation multiple. However, **we shift our preference to Randstad (moved from Underweight to Equal-weight) over Adecco (downgraded from Equal-weight to Underweight)**. We explain in this section of the note why we decide to reverse our order of preference between the two names, which we first established back in September 2025 (see the note [here](#)).

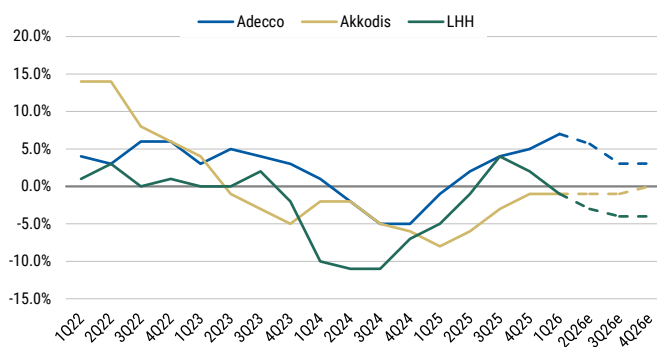
Risk of organic growth deterioration more acute with Adecco. Adecco has outperformed closest peer Randstad on organic growth and won market share over the last few quarters, as illustrated in [Exhibit 22](#). However, we believe the risk of seeing deterioration at Adecco through the rest of the year is higher, given: (1) a larger exposure to **France** (24% vs 15% for Randstad), a country where we see potential for a weak labour market given the macro and political uncertainty; (2) while the Adecco GBU has been the driver of organic growth recovery, both **LHH** (mainly perm recruitment) and **Akkodis** (Germany) have shown signs of organic growth recovery stalling; and (3) the company will face a **tougher comparison base** through the rest of FY26.

Exhibit 22: Adecco vs Randstad quarterly organic growth

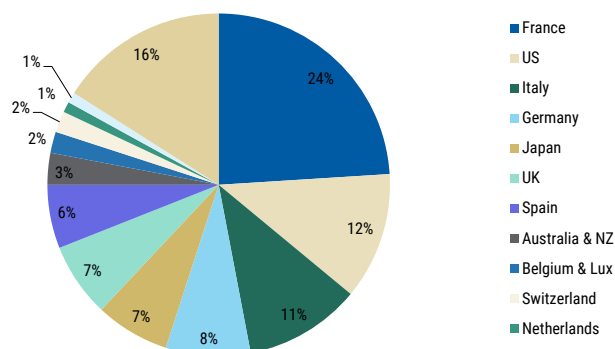


Source: Company data, Morgan Stanley Research estimates

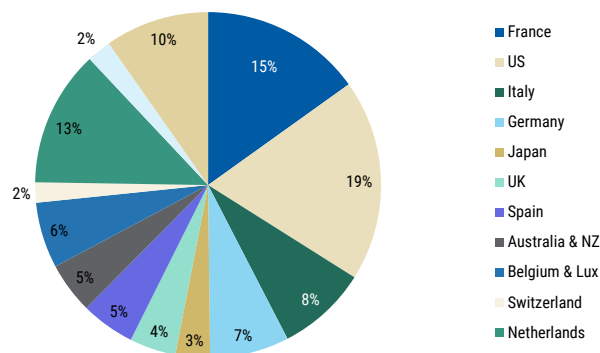
Exhibit 23: Adecco quarterly organic growth by GBU



Source: Company data, Morgan Stanley Research estimates

Exhibit 24: Adecco geographic exposure (FY24)

Source: Company data

Exhibit 25: Randstad geographic exposure (FY23)

Source: Company data

Consensus expectations more ambitious for Adecco vs. Randstad. We note that consensus expectations are more demanding for Adecco vs Randstad (see [Exhibit 33](#) and [Exhibit 34](#)) and imply a slightly higher level of mid-term organic growth, at 3% on average over FY27-28 (vs 2.3% for Randstad) and 20bps improvement in gross margin between FY26 and F28 (vs flat at Randstad). While we acknowledge that Adecco's organic growth has been better since the beginning of 2025, we think the sustainability of these market share gains is at risk and think organic growth at the two companies should gradually converge over time.

Leverage still a challenge, further shareholder dilution possible. We continue to think that Adecco's higher financial leverage (2.7x at the end of FY25 vs 1.3x for Randstad) needs to be addressed as soon as possible – management has committed to bring it back to 1.5x by FY27. While a staffing market stabilisation combined with Adecco's cash-generative business model should allow the group to gradually reduce leverage, we argue any deterioration in the space within the next 18 months (whether macro or AI-driven driven) would put pressure on the balance sheet.

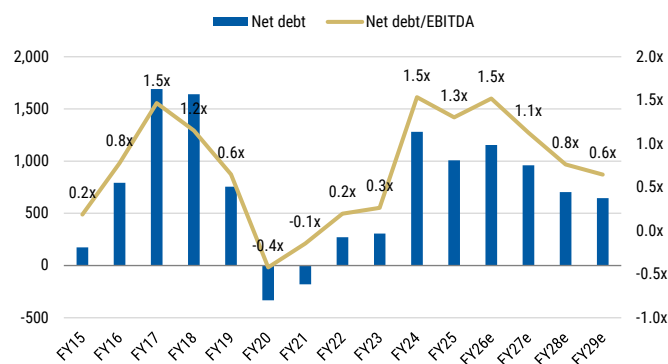
We welcome management's guidance of a reduction in leverage to 1.5x by FY27 but we think it will prove challenging. Adecco management has flagged that it can reach this leverage whatever the scenario: from cost savings in the event of weaker-than-expected top line or from operating leverage should volume improve. In our base case – which assumes 3% average organic growth, stable gross margin, 50% operating leverage and dividend paid in cash – Adecco's leverage would land at 2.2x in FY27, significantly above target. We therefore see the dividend payment as the main lever Adecco management could adjust to accelerate the de-leveraging of its balance sheet. We believe another dividend cut, following the one in FY25, is unlikely following the dividend policy re-set last year. However, we think Adecco management could conceivably decide to offer another scrip dividend option to investors in coming years to accelerate the deleveraging, following the option offered to shareholders at FY25 of either receiving cash or new shares (with >50% opting for shares). For illustration, we show a scrip dividend scenario analysis in [Exhibit 28](#) to [Exhibit 31](#) and conclude the following:

- **Our theoretical scrip dividend analysis suggests no scenarios where Adecco's leverage would be at or below the 1.5x target by FY27.** This would require a combination of continued acceleration of organic growth, improvement in gross

margin and better operating leverage, which we think would be extremely difficult to achieve over the coming 18 months.

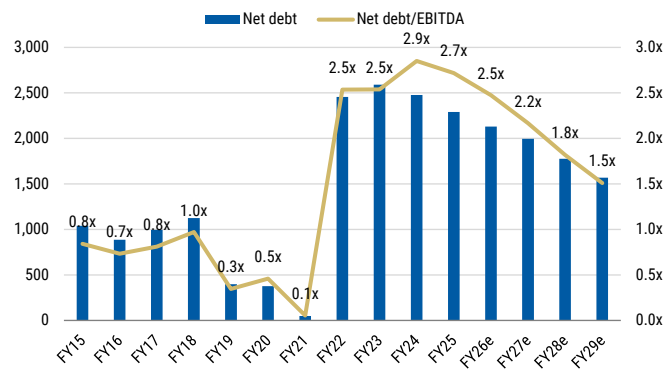
- Assuming Adecco's dividend is fully paid in cash, **we estimate the group's target leverage would be reached by FY29**, two years after management's envisaged timing.
- To reach 1.5x leverage by FY28 (1 year after the initial objective), we think Adecco could theoretically either: 1) **cut its ordinary dividend** – which seems less plausible after last year's policy reset; 2) **pay 100% of its dividend in shares** – but which would imply significant shareholder dilution and likely be perceived negatively by investors; or 3) **give shareholders the option, as it did in FY25, to choose between scrip or cash dividend** – and reach at least 80% take rate on the scrip vs cash, which seems the most plausible of the options.
- Were Adecco management to reach the target leverage as soon as FY28 by renewing the scrip dividend option in FY26 and FY27, we estimate the **shareholder dilution could be between 10-12%** (resulting from a scrip take rate of 80-100%). This would be in addition to the c3% dilution from the FY25 scrip dividend.

Exhibit 26: Randstad financial leverage



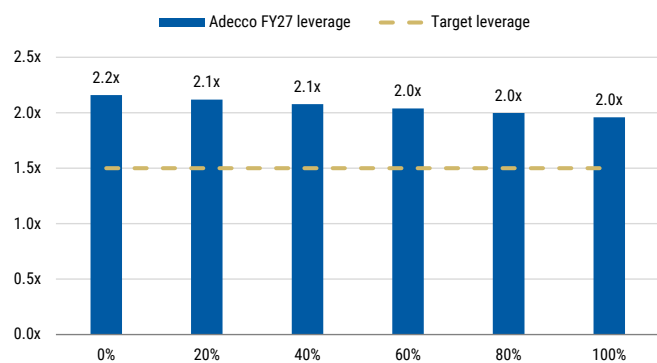
Source: Company data, Morgan Stanley research estimates

Exhibit 27: Adecco financial leverage



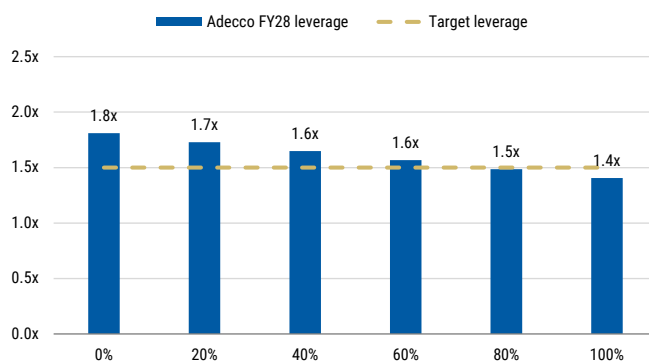
Source: Company data, Morgan Stanley research estimates

Exhibit 28: Hypothetical illustration of Adecco's FY27 financial leverage, assuming different scrip dividend take rates in FY26e*

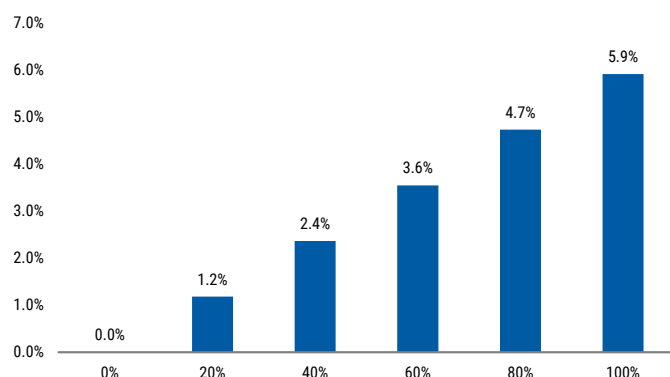


Source: Company data, Morgan Stanley research estimates, *Assuming Adecco share price of €18.5 or CHF 17

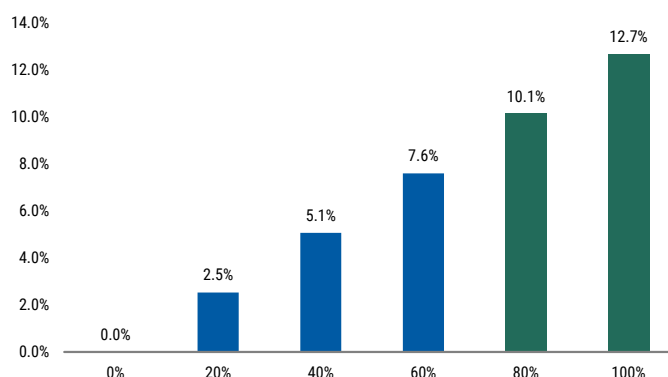
Exhibit 29: Hypothetical illustration of Adecco's FY28 financial leverage, assuming different scrip dividend take rates in FY26/27e*



Source: Company data, Morgan Stanley Research estimates, *Assuming Adecco share price of €18.5 or CHF 17

Exhibit 30: Potential shareholder dilution depending on scrip take rate in FY26e*

Source: Morgan Stanley research estimates, *Assuming Adecco share price of €18.5 or CHF 17

Exhibit 31: Potential shareholder dilution depending on scrip take rate in FY26/27e*

Source: Morgan Stanley research estimates, *Assuming Adecco share price of €18.5 or CHF 17

Relative valuation. We provide more detail on the staffers' valuation later in this note, and flag that Adecco trades at a slight discount to Randstad. However, we believe this is justified as we see more downside risk to consensus expectations for Adecco, given group leverage is higher, implying more downside risk to equity in a worst-case scenario of full-blown macroeconomic recession. We also see a potential risk of shareholder dilution in a scenario where management prioritises deleveraging and pays part or all its FY26/27e dividend in shares. Adecco trades at a ~15% discount to Randstad on an EV/EBITA basis but in line on dividend and FCF yield, which we do not consider attractive on a relative basis.

Where could we be wrong on Adecco? The group could continue to outperform peers and win market share, leading to better organic growth. It could also turn the corner on perm recruitment, which could support better gross margin and higher operating leverage. In this scenario, leverage would reduce faster and most likely trigger a valuation multiple re-rating.

Neutralising Hays after de-rating, keeping the Underweight on Page due to large exposure to perm

We upgrade our rating on Hays and move to Equal-weight (from Underweight). While we acknowledge the downside risk to consensus expectations (see [Exhibit 35](#)), we prefer to neutralise the rating as: (1) Hays has a larger exposure to temp staffing compared to Page Group (72% of gross profit vs 28% for Page Group), an activity that we see as less at risk of experiencing another volume slowdown; (2) we see less risk of further cuts to the ordinary dividend on top of what consensus already reflects; and (3) valuation multiples have de-rated and are now closer to the historical average.

We keep our Underweight recommendation for Page Group despite the recent de-rating for the following reasons (see [Exhibit 36](#)):

- **We see downside to consensus expectations in our base case of delayed recovery to permanent recruitment volumes.** We think the large exposure of Page Group to perm recruitment (72% of gross profit) makes it more vulnerable to the current environment of continued geopolitical, macro and energy price

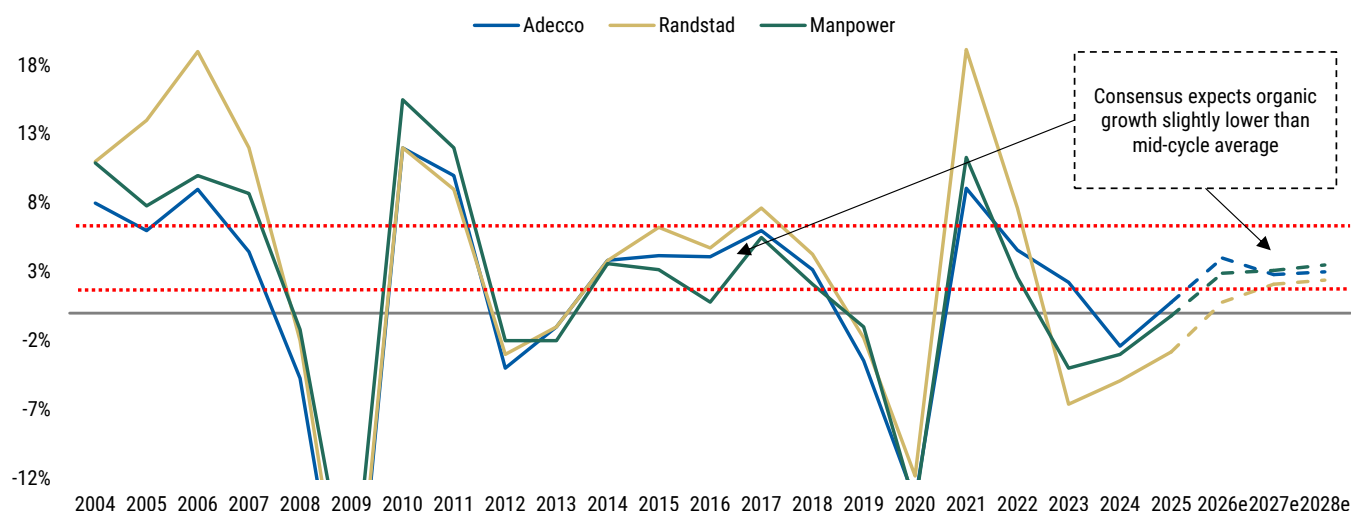
uncertainty.

- **Management has engaged in a re-positioning of the business.** 20% of gross profit is still generated from Page Personnel, a brand Page Group plans to gradually wind down as it is more exposed to the disintermediation/AI risk. While human resources will be re-directed toward other brands (Michael Page, Page Outsourcing, Page Executive), we think it could create short-term disruption and put additional pressure on gross profit.
- **We see a risk of a further dividend cut** as: (1) we see downside to consensus P&L expectations and do not expect the trough in EPS to materialise before FY27; (2) coverage of consensus dividend payment expectations by FCFE generation is the lowest at Page Group (see [Exhibit 55](#)), on our estimates; and (3) the balance sheet does not allow for payment of uncovered dividend anymore as, according to management, the group needs to keep a £25m net cash position buffer at the end of any fiscal year to operate the business.

Organic growth expectations re-based, consensus less demanding for Randstad

We note that consensus expectations across the staffing space have been re-based over the last few months. Indeed, back in December 2025 when we published our note on the AI risk for the sector (see [here](#)), we flagged sell-side was expecting generalist staffers to return to MSD organic growth and specialist to a HSD level in the mid term – which felt ambitious at the time. As illustrated in [Exhibit 32](#), consensus now expects a more modest organic growth over the mid term at ~3%/2.5% on average for generalists Adecco and Randstad. This is similar for specialists with ~5% organic growth expected from next year onwards at Hays and Page Group. We look in more detail at consensus expectations per company below and **conclude that (1) Randstad consensus feels less demanding than Adecco, and (2) we see significant downside to expectations for both Hays and Page Group.**

Exhibit 32: Organic growth of Adecco, Randstad and Manpower since 2004 vs consensus expectations



Source: Company data, Visible Alpha consensus

We believe that consensus expectations for Randstad are less demanding compared to Adecco, which we think stems from: 1) an assumption of slightly better average organic growth at Adecco vs Randstad over the coming 3 years (~3% vs ~2% respectively); combined with 2) Adecco gross margin at 19% by FY28, only 20bps below FY25 compared to -40bps at 18.3% for Randstad. As a result, we stand marginally below Adecco consensus EPS over FY26-28e vs. ~4% above on average for Randstad. In addition to Adecco's company-specific risks, as mentioned in the previous section (deterioration of organic growth, exposure to France, missing de-leveraging target, dilution from potential scrip dividend), we also believe the risk to consensus expectations is skewed to the downside.

Exhibit 33: Adecco MS estimates vs VA consensus

Adecco €mn	New			VA consensus			MS vs. consensus		
	FY26e	FY27e	FY28e	FY26e	FY27e	FY28e	FY26e	FY27e	FY28e
Revenue	23,528	24,163	24,836	23,450	24,061	24,702	0.3%	0.4%	0.5%
Organic growth	3.6%	2.6%	2.8%	4.0%	2.8%	3.0%	-40bps	-16bps	-21bps
Gross Profit	4,429	4,554	4,668	4,414	4,532	4,689	0.3%	0.5%	-0.4%
Gross Margin	18.8%	18.8%	18.8%	18.8%	18.8%	19.0%	0bps	1bps	-19bps
EBITA	701	757	809	708	754	821	-1.0%	0.4%	-1.5%
EBITA margin	3.0%	3.1%	3.3%	3.0%	3.1%	3.3%	-4bps	0bps	-7bps
EPS	2.17	2.47	2.68	2.31	2.44	2.67	-6.1%	1.4%	0.3%

Source: Visible Alpha, Morgan Stanley Research estimates

Exhibit 34: Randstad MS estimates vs VA consensus

Year end: Dec (EUR m)	MS estimates			VA Consensus			MS vs. consensus		
	FY26e	FY27e	FY28e	FY26e	FY27e	FY28e	FY26e	FY27e	FY28e
Revenues	23,062	23,677	24,377	23,025	23,555	24,160	0.2%	0.5%	0.9%
Organic revenue growth	1.1%	2.7%	3.0%	0.8%	2.1%	2.4%	32bps	58bps	55bps
Gross Profit	4,239	4,356	4,485	4,215	4,314	4,426	0.6%	1.0%	1.3%
Gross Margin	18.4%	18.4%	18.4%	18.3%	18.3%	18.3%	7bps	8bps	8bps
EBITA	717	775	839	708	762	811	1.2%	1.6%	3.4%
EBITA Margin	3.1%	3.3%	3.4%	3.1%	3.2%	3.4%	3bps	4bps	8bps
EPS - FD	2.54	2.85	3.19	2.51	2.74	2.97	1.2%	4.1%	7.3%

Source: Visible Alpha, Morgan Stanley Research estimates

We see more downside to consensus expectations for specialist staffing companies, as illustrated in [Exhibit 35](#) and [Exhibit 36](#). For **Hays**, we are aligned with VA consensus for FY26 – limited uncertainty as only one quarter remains given the June FY-end – but believe that consensus EPS expectations for FY27/28 are c10% too high on average. While we agree on net fees expectations, we think the drop-through to operating profit implied by consensus forecasts is too high at 100%/+60% for the next two years, respectively. We stand c20% below consensus expectations for **Page Group** operating profit over FY26/28 on average – although the magnitude is now distorted by the law of small numbers. Similarly to Hays, we believe the operating leverage implied by consensus forecasts is too high and assumes the group can turn c70% of the extra gross profit generated in FY27e into operating profit, an elevated level by historical standards and one which would require the company to continue to cut costs while returning to positive organic growth. In the short term, we think the risk of a deterioration of permanent recruitment – due to the uncertain geopolitical/macro context – could be a downside risk to Page Group consensus/guidance.

Exhibit 35: Hays MS estimates vs VA consensus

Hays Year end: Jun (GBP mn)	MS				VA Consensus			MS vs. Consensus		
	FY25	FY26e	FY27e	FY28e	FY26e	FY27e	FY28e	FY26e	FY27e	FY28e
Net Fees	972	911	914	958	902	905	960	1.0%	1.0%	-0.2%
LfL net fees growth	-11.0%	-7.7%	0.3%	4.8%	-8.4%	0.2%	5.6%	66bps	12bps	-79bps
EBITA	46	45	51	81	44	57	90	2.7%	-11.0%	-10.1%
% conversion	4.7%	4.9%	5.6%	8.5%	4.8%	6.3%	9.4%	8bps	-75bps	-93bps

Source: Visible Alpha, Morgan Stanley Research estimates

Exhibit 36: Page Group MS estimates vs VA consensus

Page Group Year end: Dec (GBp)	New			VA consensus			Change		
	FY26e	FY27e	FY27e	FY26e	FY27e	FY28e	FY26e	FY27e	FY28e
Gross profit	751	756	783	741	762	805	1.4%	-0.8%	-2.7%
adj. EBITA	22.5	29.8	50.7	28	41	62	-20.9%	-27.6%	-18.3%
% conversion	3.0%	3.9%	6.5%	3.8%	5.4%	7.7%	-84bps	-146bps	-123bps

Source: Visible Alpha, Morgan Stanley Research estimates

Changes to MS estimates

We update our Adecco estimates following the publication of the group's 1Q26 trading update to reflect management's 2Q26 outlook and update our view on 2H26. While our top-line forecast rises by c1% on average over the coming 3 years (due to slightly better organic growth and lower FX headwinds), our adjusted EBITA forecast comes down by -6% on average driven by: 1) a re-set of our gross margin trajectory, now reflecting flat development between FY26-28; and 2) slightly higher operating costs (+0.5-1%). We also integrate the dilution impact resulting from management's decision to offer the option of scrip dividend (~60% take up rate), magnifying the impact on **EPS, which we estimate comes down ~12% on average over FY26-28** (see [Exhibit 37](#)).

We update our valuation model, which yields a new price target of CHF 15 (from CHF 20.50 previously), leaving ~10% downside to the current share price. **We therefore move our rating from Equal-weight to Underweight**, underpinned by the factors highlighted earlier in this note (including larger downside risk to consensus expectations and elevated leverage). The change in PT reflects: 1) the above-mentioned downward revision of estimates; 2) our slightly lower LT margin assumption at 3.8% (vs 4% previously) as concerns on pricing build; 3) a higher WACC at 10.5% (vs 10% previously); and 4) a lower target EV/EBITA multiple of 7x, in line with Randstad and at a discount to its historical average to reflect risks of structural headwinds. We also adjust our bear/bull valuations, which now stand at CHF 7 and CHF 37 respectively.

Exhibit 37: New vs old estimates for Adecco

Adecco €mn	New			Old			% change		
	FY26e	FY27e	FY28e	FY26e	FY27e	FY28e	FY26e	FY27e	FY28e
Revenue	23,528	24,163	24,836	23,350	23,968	24,638	0.8%	0.8%	0.8%
Gross Profit	4,429	4,554	4,668	4,433	4,574	4,724	-0.1%	-0.4%	-1.2%
Gross Margin	18.8%	18.8%	18.8%	19.0%	19.1%	19.2%	-16bps	-23bps	-38bps
SG&A	-3,764	-3,833	-3,894	-3,742	-3,808	-3,881	0.6%	0.6%	0.3%
EBITA	701	757	809	726	801	878	-3.5%	-5.5%	-7.9%
EBITA margin	3.0%	3.1%	3.3%	3.1%	3.3%	3.6%	-13bps	-21bps	-31bps
Interest	-80	-73	-70	-80	-73	-70	0.0%	0.0%	0.0%
PBT	601	663	718	626	707	788	-4.0%	-6.2%	-8.8%
Tax	-223	-232	-251	-219	-233	-260	1.6%	-0.5%	-3.2%
% rate	37.1%	35.0%	35.0%	35.0%	33.0%	33.0%	207bps	200bps	200bps
EPS	2.17	2.47	2.68	2.41	2.81	3.13	-10.1%	-12.0%	-14.4%

Source: Morgan Stanley Research estimates

We already updated our numbers post Randstad's 1Q26 results (see [here](#)) and the changes we make today are therefore limited. We keep our organic growth and gross margin forecast unchanged but marginally increase our SG&A assumption, which leads to a -1/-2% reduction of our FY26-28e adjusted EBITA/EPS forecasts on average, respectively, as illustrated in [Exhibit 38](#).

We reduce our PT to €25.5 (from €26 previously), which leaves limited downside to the current share price and leads us to upgrade our rating from Underweight to Equal-weight. Our PT change reflects the limited changes to our estimates combined with same valuation modelling adjustments we make for Adecco (lower LT margin at 3.8%, higher WACC at 10.5%, EV/EBITA multiple target at 7x). We also adjust our bear/bull valuations, which now stand at €12 and €48, respectively.

Exhibit 38: New vs old estimates for Randstad

Year end: Dec (EUR m)	FY26e	New FY27e	FY28e	FY26e	Old FY27e	FY28e	FY26e	Change FY27e	FY28e
Revenues	23,062	23,677	24,377	23,081	23,697	24,397	-0.1%	-0.1%	-0.1%
Gross Profit	4,239	4,356	4,485	4,241	4,359	4,488	-0.1%	-0.1%	-0.1%
Gross Margin	18.4%	18.4%	18.4%	18.4%	18.4%	18.4%	0bps	0bps	0bps
SG&A	-3,522	-3,582	-3,646	-3,517	-3,577	-3,641	0.1%	0.1%	0.1%
EBITA	717	775	839	724	782	847	-1.1%	-1.0%	-1.0%
EBITA Margin	3.1%	3.3%	3.4%	3.1%	3.3%	3.5%	-3bps	-3bps	-3bps
Interest	-64.2	-58.3	-51.1	-64.2	-58.3	-51.1	0.0%	0.0%	0.0%
PBT	652	716	788	660	724	796	-1.2%	-1.1%	-1.0%
Tax rate	30.4%	29.0%	28.0%	30.4%	28.0%	27.0%	0bps	100bps	100bps
Net income	454	508	567	459	521	581	-1.2%	-2.5%	-2.4%
EPS - FD	2.54	2.85	3.19	2.57	2.93	3.26	-1.2%	-2.5%	-2.4%

Source: Morgan Stanley Research estimates

We update our Hays model following the group 3Q26 trading update. This leaves our FY26 (ends in June) estimates roughly unchanged, but we make more meaningful adjustments to our FY27-28 assumptions as we reflect a slower recovery in net fees and lower drop-through to operating profit. We now forecast flat net fee lfl growth in FY27 – which feels better calibrated given we think the FY26 exit growth rate is likely to be at least down MSD – and slight improvement in conversion rate to 5.6% on the back of the continued focus on cost discipline. **Our FY27-28 EPS are coming down by ~20% as a result.**

We reflect these new estimates in our valuation model but also: 1) review our LT DCF assumption with a new growth rate of 1.5% (vs 2% previously) and 15% conversion rate (vs 17%); and 2) apply a new target EV/EBITA multiple of 7x (vs 9x) as we think the historical valuation multiple premium of specialist staffing companies like Hays and Page compared to generalist staffers Adecco and Randstad is no longer warranted as they face the same structural risks. **This leads to a new price target of GBp35 (vs. GBp44 previously), which leaves no downside and underpins our rating upgrade from Underweight to Equal-weight.** We reflect similar assumption changes in our bull/bear valuation framework, which yields new valuations of GBp75/GBp21, respectively.

Exhibit 39: New vs old estimates for Hays

Hays Year end: Jun (GBP mn)	FY25	FY26e	New FY27e	FY28e	FY26e	Old FY27e	FY28e	FY26e	Change FY27e	FY28e
Net Fees	972	911	914	958	920	939	984	-1.0%	-2.7%	-2.7%
EBITA	46	45	51	81	46	64	100	-3.2%	-19.7%	-18.8%
% margin	0.7%	0.8%	0.9%	1.4%	0.8%	1.1%	1.7%	-3bps	-19bps	-28bps
% conversion	4.7%	4.9%	5.6%	8.5%	5.0%	6.8%	10.1%	-11bps	-118bps	-168bps
Interest	-13	-12	-12	-9	-12	-12	-9	0.0%	0.0%	0.0%
PBT	32	32	39	72	34	52	91	-4.4%	-24.2%	-20.6%
Tax Rate	35.1%	38.0%	35.0%	33.0%	38.0%	35.0%	33.0%	0bps	0bps	0bps
Adjusted EPS	1.31	1.26	1.59	3.02	1.32	2.10	3.80	-4.4%	-24.2%	-20.6%
Reported EPS	-0.49	0.01	1.59	3.02	0.07	2.10	3.80	-87.1%	-24.2%	-20.6%

Source: Morgan Stanley Research estimates

We also make significant reductions to our estimates for Page Group following the group 1Q26 trading update, weak Indeed job posting data in key geographies, and comments from other staffers that permanent recruitment remains subdued. We therefore believe that Page Group Gross profit organic growth could be weaker for longer and expect -3% this year, flat in FY27 and 5% on average thereafter. We also reflect a slower ramp-up in conversion rate over the next 3 years, which leads to a ~50% decline in our operating profit and EPS forecasts on average – although partly driven by the law of small numbers.

We update our valuation framework to reflect these new estimates, but also a lower LT growth and conversion rate assumption at a respective 1.5% and 15%, in line with Hays as

explained above. We also increase our WACC to 12% given Page Group's larger exposure to perm recruitment, a more cyclical business that could further deteriorate. We change our target EV/EBITA multiple to 7x, in line with the rest of the staffing coverage. **Overall, this leads to a reduction of our price target to GBp110 (from GBp195 previously).** We reflect similar changes to our bull and bear scenarios, which yield new valuations of GBp270/GBp55, respectively.

Exhibit 40: New vs old estimates for Page Group

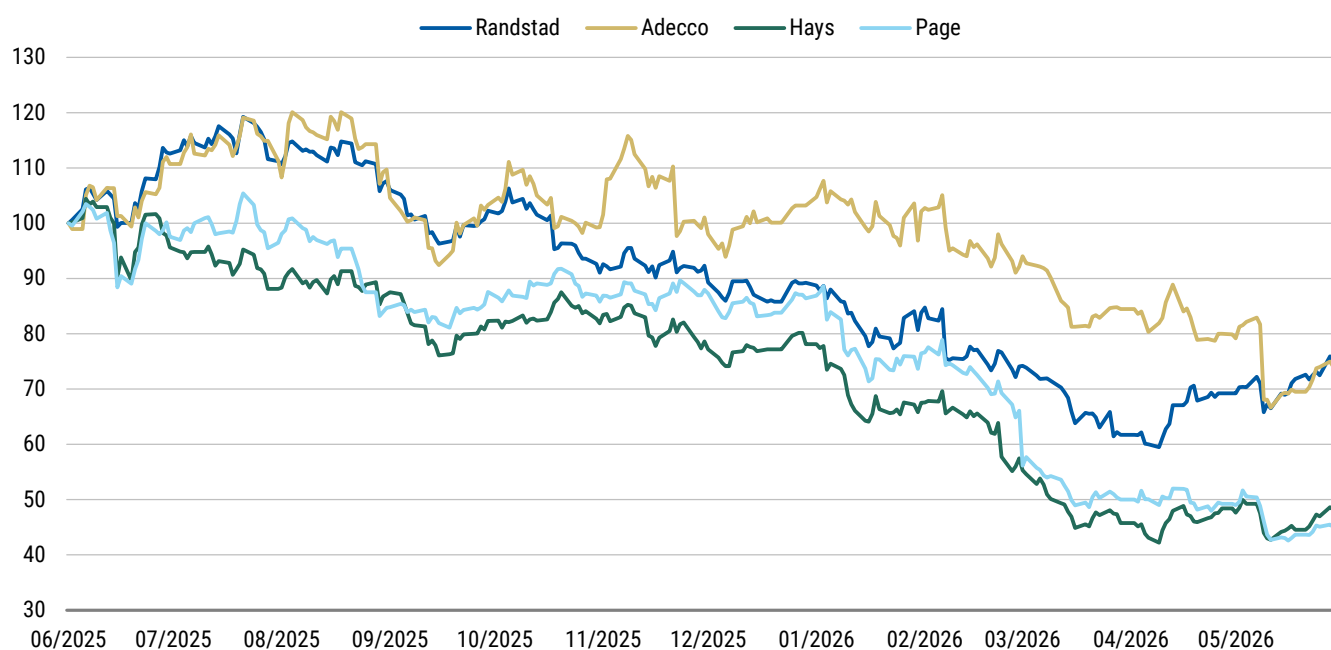
Page Group	New			Old			Change		
Year end: Dec (GBp)	FY26e	FY27e	FY28e	FY26e	FY27e	FY28e	FY26e	FY27e	FY28e
Gross profit	751	756	783	768	798	837	-2.1%	-5.4%	-6.5%
EBITA	22.5	29.8	50.7	40.3	61.0	89.1	-44.2%	-51.1%	-43.1%
% conversion	3.0%	3.9%	6.5%	5.2%	7.6%	10.6%	-226bps	-369bps	-417bps
PBT	19	25	46	37	57	85	-49.4%	-56.1%	-46.5%
Tax rate	34.0%	32.0%	32.0%	34.0%	32.0%	32.0%	0bps	0bps	0bps
Net Income	12	17	31	24	39	58	-49.4%	-56.1%	-46.5%
Adjusted EPS	3.90	5.40	9.88	7.67	12.24	18.34	-49.1%	-55.9%	-46.1%
Reported EPS	1.80	5.40	9.88	7.67	12.24	18.34	-76.6%	-55.9%	-46.1%

Source: Morgan Stanley Research estimates

Sector under pressure, valuation de-rating has accelerated

Staffing stocks have remained under pressure this year, with our coverage down -40% on average over the last 12 months. As explained previously in this note, the gradual stabilisation/improvement in organic growth has not been enough to reassure investors, who are still concerned by potential pricing headwinds, gross margin deterioration and the lack of more meaningful operating leverage. Generalist staffers Adecco and Randstad have suffered from a relatively similar share price pull-back and are down ~25%, while Hays is down ~50% and Page Group is the worst performer at ~55% over the past year.

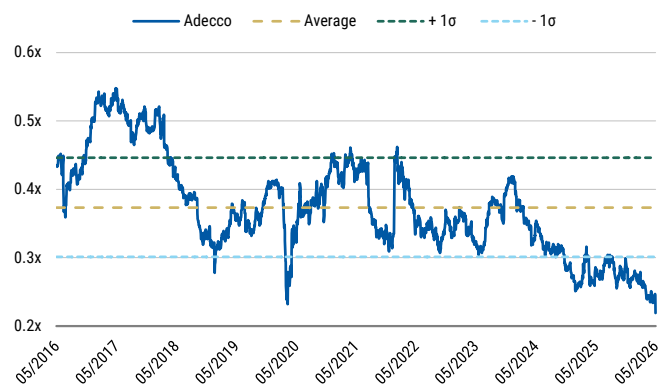
Exhibit 41: Share price performance of our staffing coverage ytd



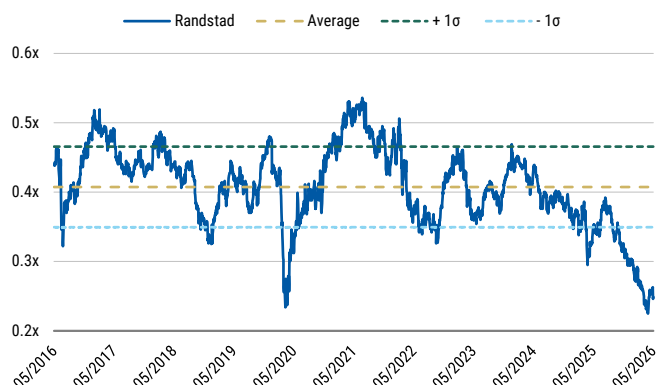
Source: Datastream

Investors' concerns on the structural level of staffers' profitability going forward is reflected in how the stock have been trading, in our view. **Indeed, Adecco and Randstad valuations are still at all-time lows on an EV/sales basis and at a ~10-20% discount to historical average on EV/EBIT** (see [Exhibit 42](#) to [Exhibit 45](#)). Both stocks were trading on higher-than-average EV/EBIT multiple in 2H25 – with the market giving them the benefit of the doubt on at least part of the upcoming recovery – but the de-rating ytd has corrected this valuation anomaly. Valuation now better reflects the current environment, but we remain cautious on the entire space nonetheless on the risk of organic growth deterioration, continued gross margin weakness, potentially driving additional downward revision of consensus expectations – as explained earlier in this note.

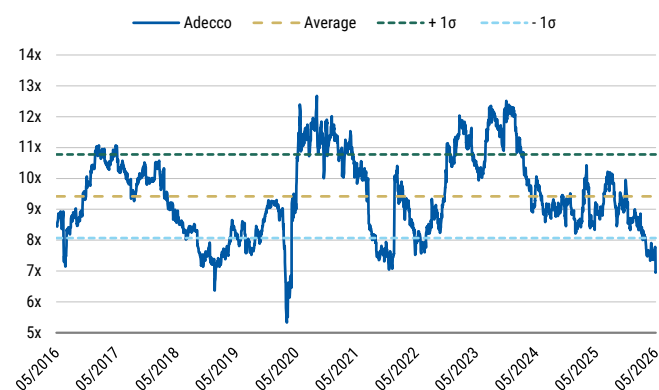
Adecco EV/sales discount to Randstad is currently roughly in line with the historical average (-10%) but we note it also trades at a c~20% discount on EV/EBIT. We think this is justified given the higher financial leverage and risk of potential shareholder dilution from scrip dividend. On our estimates Adecco trades on ~7.5x EV/EBITA, which compares to ~8.5x for Randstad and implies a limited ~15% discount.

Exhibit 42: Adecco EV/sales over the last 10y

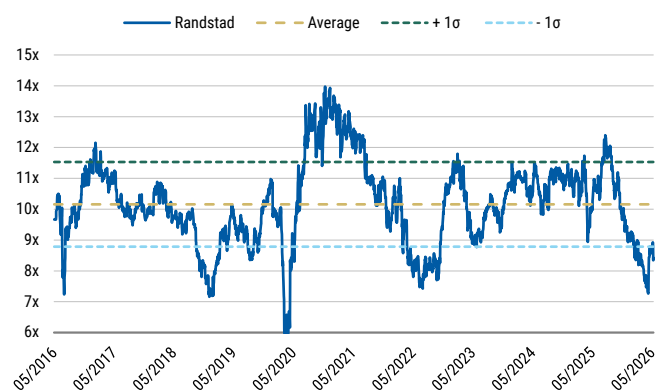
Source: Datastream

Exhibit 43: Randstad EV/sales over the last 10y

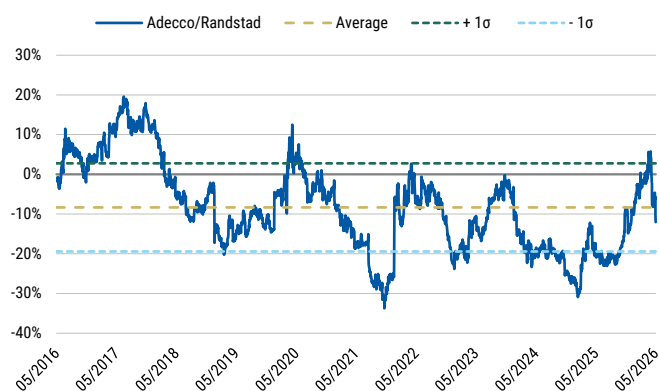
Source: Datastream

Exhibit 44: Adecco EV/EBIT over the last 10y

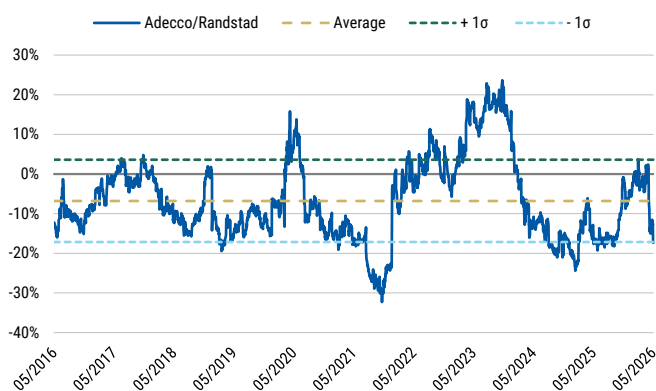
Source: Datastream

Exhibit 45: Randstad EV/EBIT over the last 10y

Source: Datastream

Exhibit 46: Adecco EV/sales valuation relative to Randstad over the last 10y

Source: Datastream

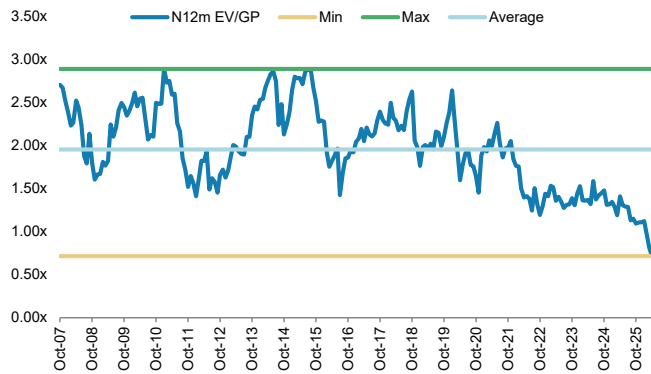
Exhibit 47: Adecco EV/EBIT valuation relative to Randstad over the last 10y

Source: Datastream

The valuation de-rating is the same for specialists Hays and Page Group, which trade on record low EV/GP multiples but close to historical average on EV/EBIT (see [Exhibit 48](#) to [Exhibit 51](#)). On EV/EBIT, both stocks were trading at a significant premium to historical average a few months ago (before the recent de-rating) as investors were willing to look through the short-term pain and value the company on "normalised" earnings level. We believe the continued volume and margin weakness, margins, concerns over pricing

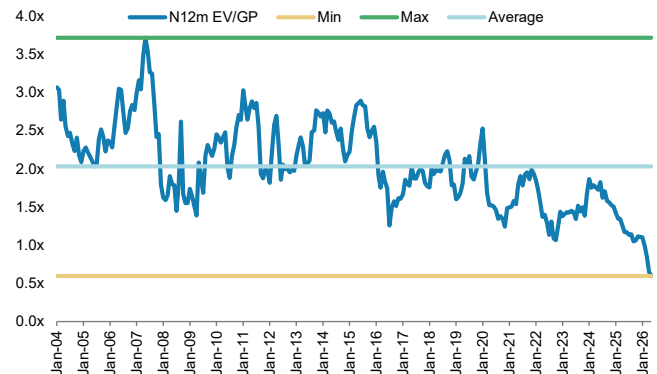
pressure and cut to ordinary dividend has driven this de-rating. **As we expect the downward revision of estimates and re-set of dividend policy could continue to materialise through the rest of this year, we see the valuation/share price decline continuing.**

Exhibit 48: Hays EV/GP



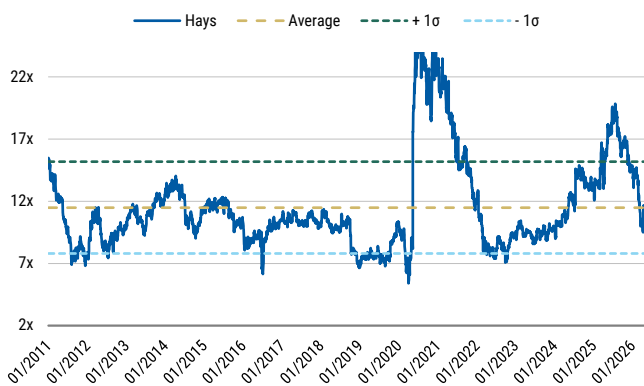
Source: Morgan Stanley Research estimates

Exhibit 49: Page Group EV/GP



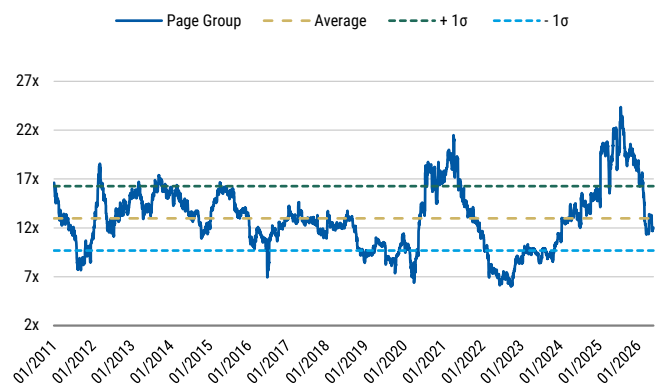
Source: Morgan Stanley Research estimates

Exhibit 50: Hays EV/EBIT since



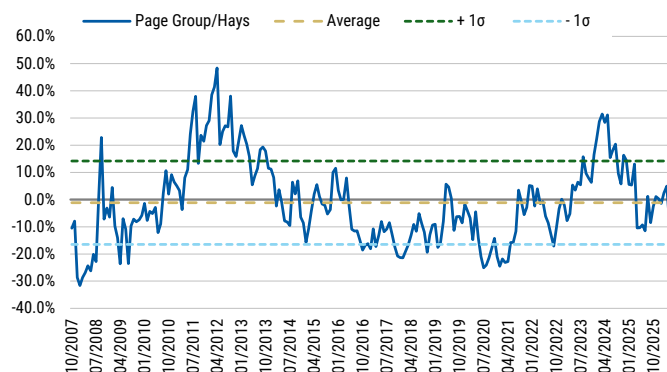
Source: Datastream

Exhibit 51: Page Group EV/EBIT over the last 10y



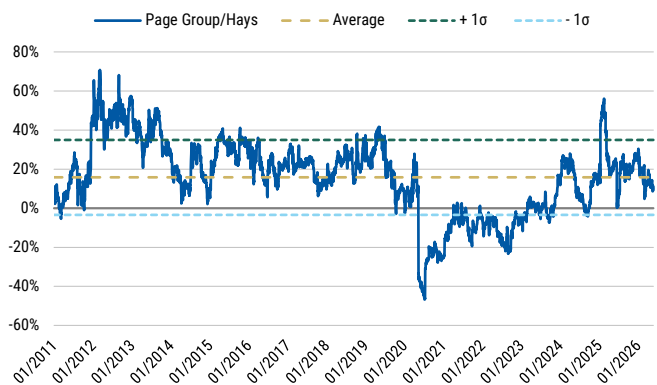
Source: Datastream

Exhibit 52: Page Group EV/GP valuation relative to Hays over the last 10y



Source: Datastream

Exhibit 53: Page Group EV/EBIT valuation relative to Hays over the last 10y



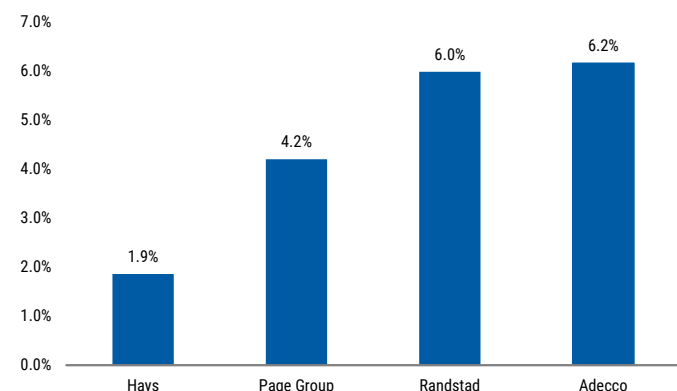
Source: Datastream

We think it is also interesting to look at the valuation in the context of FCF generation, return of cash to shareholders and likelihood of further dividend cuts (all companies in our staffing coverage have now cut their ordinary dividend over the last 12 months). We forecast a roughly stable ordinary dividend at Adecco and Randstad over the coming 12 months but see a scenario where Adecco once again offers a scrip dividend FY26 (as explained earlier in the note). We forecast a dividend cut for both Hays and Page Group in FY26 but believe consensus is better calibrated on the former, as explained below.

Adecco and Randstad are trading on relatively similar dividend yield and FCF yield, as illustrated in [Exhibit 54](#) and [Exhibit 56](#) and therefore have a similar dividend coverage profiles. However, the higher net financial debt at Adecco means the group has less room for manoeuvre from a capital allocation perspective and needs to prioritise deleveraging, as discussed earlier. As a result, we would favour Randstad given the lower risk profile but similar valuation. **Due to the financial leverage difference, we also note that Randstad trades at a significant discount to Adecco on an EV/FCF basis** as shown in [Exhibit 57](#), which illustrates our point.

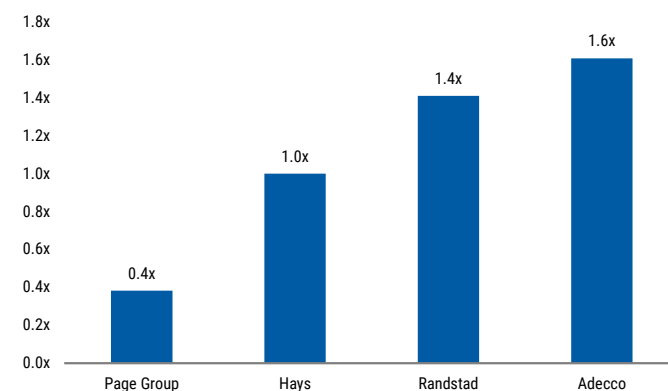
Within specialist staffers, we think Page Group is more likely to miss consensus dividend expectations compared to Hays. Indeed, VA consensus already reflects another significant cut to Hays' ordinary dividend this year (from 1.24 in FY25 to 0.59 in FY26), leaving the company trading on a mere 2% dividend yield, well below the rest of our staffing coverage (6.5% average). However, we note that this consensus dividend is covered by FCFE generation (1x coverage), implying a lower risk of downside vs Page Group where dividend coverage is well below 1x (0.4x). We therefore believe consensus is too optimistic on the ability of the latter to return cash to shareholder and forecast another -40% cut in FY26 vs VA consensus implying only ~20%. This also supports our preference for Hays within the specialist staffing.

Exhibit 54: Staffing coverage dividend yield over the next 12 months

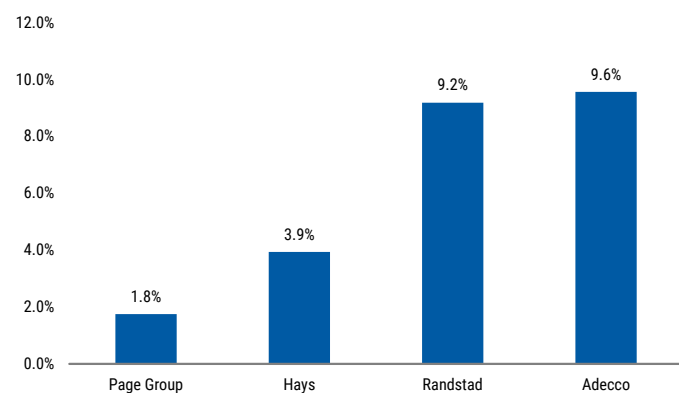


Source: Morgan Stanley Research estimates

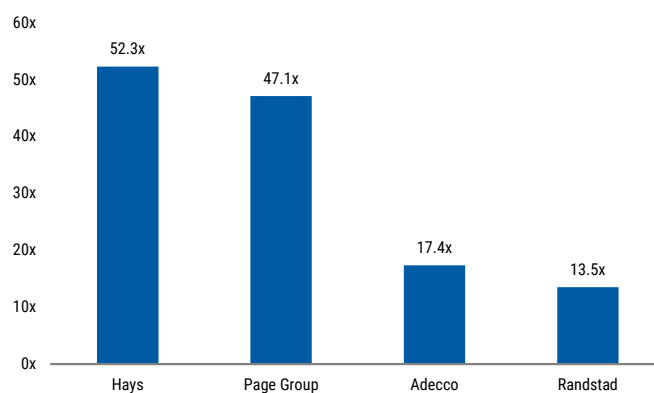
Exhibit 55: Consensus dividend coverage for next 12 months*



Source: Visible Alpha, Morgan Stanley Research estimates, *calculated as FCFE/dividend N+1

Exhibit 56: Staffing coverage FCF yield over the next 12 months

Source: Morgan Stanley Research estimates

Exhibit 57: Staffing coverage EV/FCF over the next 12 months

Source: Morgan Stanley Research estimates

Staffing Heatmap by Country

In this section, we present staffing, labour market and confidence data for all the key markets of the staffing companies under our coverage. We believe these indicators are the most relevant to track to assess the short-term outlook for staffing companies, given these countries combined represent the vast majority of revenues/net fees for Adecco (c80-85%), Randstad (c80-85%), Hays (c75-80%) and Page Group (c70-80%, MS estimate). *Please get in touch if you would like access to the entire staffing database.*

Exhibit 58: Staffing database: France heatmap

FRANCE	Apr-24	May-24	Jun-24	Jul-24	Aug-24	Sep-24	Oct-24	Nov-24	Dec-24	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
Key labour indicators																										
French Temps chg YoY%	-7.6%	-10.3%	-9.0%	-7.9%	-6.7%	-8.4%	-8.0%	-8.3%	-9.2%	-13.0%	-9.4%	-8.9%	-8.1%	-5.7%	-6.5%	-4.2%	-4.9%	-3.9%	-3.1%	-4.0%	-1.0%	-2.9%	-1.3%	-0.8%	-1.2%	
French Temp hours chg YoY%	-7.6%	-8.6%	-5.4%	-8.6%	-2.0%	-7.4%	-7.2%	-8.9%	-13.4%	-9.7%	-10.0%	-7.7%	-4.3%	1.9%	-2.7%	0.5%	-0.6%	-3.3%	-2.1%	-0.6%	2.8%	0.6%	-0.5%	-2.0%		
French Temp turnover chg YoY%	-5.5%	-6.9%	-5.3%	-8.0%	-4.8%	-7.1%	-5.9%	-5.7%	-9.7%	-7.8%	-6.0%	-4.6%	-1.1%	3.4%	-0.8%	1.3%	3.6%	-0.9%	0.3%	2.4%	2.4%	0.7%	-0.1%	-1.4%		
Indeed Job Posting	155.0	152.8	149.1	145.1	141.6	138.6	132.4	130.1	130.1	128.5	125.3	122.8	120.2	120.7	117.6	114.1	111.7	110.5	106.8	105.6	104.2	104.4	108.8	104.7	97.0	96.7
Other labour market indicators																										
French temp employment (in 000')	762.5	748.0	733.1	735.8	733.3	728.4	720.0	717.6	712.6	707.6	703.7	708.5	703.8	706.7	708.3	719.2	713.2	708.0	697.2	706.0	707.6	705.2	702.7	704.5	702.7	
French temp employment chg YoY%	-3.3%	-4.9%	-6.5%	-4.6%	-1.6%	-5.1%	-5.5%	-5.0%	-6.0%	-6.7%	-6.6%	-5.9%	-7.7%	-5.5%	-3.4%	-2.3%	-2.7%	-2.8%	-3.2%	-1.6%	-0.7%	-0.3%	-0.1%	-0.6%	-0.2%	
French job vacancies (in 000')	311.3	306.9	291.6	307.9	316.7	318.1	299.6	301.9	289.0	281.6	276.2	274.3	267.6	266.4	251.7	256.9	248.8	246.9	239.2	247.4	251.7	257.7	258.1	255.1	262.5	258.4
French job vacancies chg YoY%	-2.9%	-12.9%	-14.1%	-9.2%	-6.7%	-13.2%	-8.1%	-6.6%	-14.2%	-12.7%	-18.9%	-12.5%	-14.4%	-18.0%	-11.9%	-10.2%	-20.8%	-20.2%	-18.1%	-12.9%	-8.5%	-6.6%	-7.0%	-1.9%	-3.0%	
New hires in permanent contracts (in 000')	403.8	398.8	395.5	394.9	388.7	393.9	384.3	392.9	387.1	394.3	388.7	396.6	413.0	394.7	415.8	422.3	413.4	401.5	395.5							
New hires in permanent contracts chg YoY%	-2.8%	-7.7%	-4.3%	-3.4%	-6.0%	-6.2%	-8.8%	-4.0%	-8.2%	-2.7%	-6.5%	-2.5%	2.3%	-1.0%	5.1%	6.9%	6.4%	1.9%	2.9%							
Active job seekers (in 000')	5,820	5,850	5,862	5,858	5,849	5,908	5,915	5,930	5,965	6,137	6,177	6,156	6,053	6,044	6,055	6,119	6,142	6,149	6,165	6,165	6,162	6,140	6,121	6,191	6,197	
Active job seekers chg YoY%	0.3%	0.7%	1.4%	0.7%	0.5%	1.5%	1.5%	1.5%	1.7%	5.1%	5.9%	5.7%	4.0%	3.3%	3.3%	4.4%	5.0%	4.1%	4.2%	4.0%	3.3%	0.0%	-0.9%	0.6%	2.4%	
Unemployment rate (%)	7.4%	7.4%	7.5%	7.5%	7.5%	7.5%	7.4%	7.4%	7.3%	7.3%	7.5%	7.6%	7.5%	7.6%	7.7%	7.7%	7.8%	7.9%	8.0%	8.0%	8.0%	8.1%	8.2%	8.2%	8.2%	
Number of bankruptcies	5,298	5,794	5,726	5,487	4,456	5,755	5,764	5,910	5,961	5,337	5,744	5,792	5,856	5,854	6,001	5,871	4,612	6,042	5,755	6,062	5,880	6,047	6,194	6,021	6,119	
Confidence indicators																										
French Composite PMI	50.5	48.9	48.8	49.1	53.1	48.6	48.1	45.9	47.5	47.6	45.1	48.0	47.8	49.3	49.2	48.6	49.8	48.1	47.7	50.4	50.0	49.1	49.9	48.8	47.6	44.9
French Composite Employment PMI	52.2	51.2	50.6	50.2	49.8	50.3	49.8	50.4	48.0	47.4	46.5	48.6	48.4	49.2	49.1	48.8	52.3	50.5	51.2	49.5	50.2	50.7	50.6	49.6	50.2	47.0
French Manufacturing PMI	45.3	46.4	45.4	44.0	43.9	44.6	44.5	43.1	41.9	45.0	45.8	48.5	48.7	49.8	48.1	48.2	50.4	48.2	48.8	47.8	50.7	51.2	50.1	50.0	52.8	49.7
French Service PMI	51.3	49.3	49.6	50.1	55.0	49.6	49.2	46.9	49.3	48.2	45.3	47.9	47.3	48.9	49.6	48.5	49.8	48.5	48.0	51.4	50.1	48.4	49.6	48.8	46.5	44.3
Economic Sentiment Indicator	95.9	99.2	98.3	95.4	99.1	98.1	93.8	96.4	92.8	95.8	98.6	96.6	97.2	93.6	90.3	92.6	92.6	93.1	94.9	95.3	94.4	100.5	97.5	94.4	91.5	92.4
Employment Expectations Indicator	101.9	98.8	97.9	91.7	95.6	97.5	95.6	95.9	93.9	94.4	93.7	92.9	93.7	91.2	93.2	93.2	94.0	92.8	93.8	96.9	94.6	96.0	93.7	96.2	92.1	93.9
Household Confidence Indicator	90.0	91.1	90.7	91.7	93.1	95.8	93.1	89.9	88.2	90.8	92.4	90.5	91.6	88.9	89.1	89.1	87.7	88.2	90.0	89.1	89.5	88.8	91.1	88.8	84.0	82.0

Source: Prisme, Haver Analytics, Morgan Stanley Research

Exhibit 59: Staffing database: Germany heatmap

GERMANY	Apr-24	May-24	Jun-24	Jul-24	Aug-24	Sep-24	Oct-24	Nov-24	Dec-24	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
Key labour indicators																										
Job Vacancies ('000)	709	704	692	685	675	675	675	667	671	662	654	650	648	634	626	616	615	615	615	623	628	621	650	644	642	
Job Vacancies chg YoY%	-0.5%	-8.7%	-8.9%	-8.7%	-8.8%	-8.0%	-7.8%	-8.6%	-8.7%	-9.8%	-9.5%	-9.5%	-8.6%	-9.9%	-10.1%	-8.9%	-8.9%	-8.9%	-6.6%	-6.4%	-6.2%	-0.6%	-0.9%	-0.9%		
BA X index	111	111	109	108	107	107	108	105	105	105	103	103	106	100	100	98	99	98	98	100	101	100	106	103	102	
Indeed Job Posting	148.7	147.1	143.2	138.0	135.3	133.1	131.1	129.4	129.6	129.0	126.2	123.8	123.3	122.4	120.2	115.9	114.6	116.1	116.1	115.6	114.7	114.3	113.5	111.8	109.3	110.4
Other labour market indicators																										
Unemployment rate	5.9%	5.9%	5.9%	6.0%	6.0%	6.0%	6.1%	6.1%	6.1%	6.2%	6.2%	6.3%	6.3%	6.3%	6.3%	6.3%	6.3%	6.3%	6.3%	6.3%	6.3%	6.3%	6.3%	6.3%	6.4%	6.3%
Negotiated wages chg YoY%	4.1%	4.9%	4.2%	5.2%	6.0%	6.0%	6.2%	6.9%	6.9%	6.8%	7.5%	6.0%	7.2%	6.6%	6.6%	5.4%	4.9%	4.9%	4.7%	3.8%	3.7%	3.7%	3.0%	2.7%		
Business Involvement (LTM)	1,615	1,653	1,662	1,691	1,709	1,731	1,775	1,798	1,818	1,835	1,859	1,875	1,893	1,901	1,927	1,948	1,966	1,976	1,984	1,985	2,005	2,013				
Industrial output per working hours	94.2	95.7	93.5	93.4	94.5	93.4	94.8	93.9	92.8	94.9	94.9	95.8	95.6	95.4	95.8	96.3	93.2	95.4	95.7	97.8	95.4	94.4	95.2	94.9		
Confidence indicators																										
German Composite PMI	50.6	52.4	50.4	49.1	48.4	47.5	48.6	47.2	48.0	50.5	50.4	51.3	50.1	48.5	50.4	50.6	50.5	52.0	53.9	52.4	51.3	52.1	53.2	51.9	48.4	48.8
German Composite Employment PMI	50.1	50.9	49.0	47.7	47.5	46.3	46.0	46.5	47.3	49.0	47.9	49.3	49.9	48.9	48.9	49.5	48.6	46.9	49.8	48.9	49.1	46.7	47.4	47.6	47.2	47.4
German Manufacturing PMI	42.5	45.4	43.5	43.2	42.4	40.6	43.0	43.0	42.5	45.0	46.5	48.3	48.4	48.3	49.0	49.1	49.8	49.5	49.6	48.2	47.0	49.1	50.9	52.2	51.4	50.1
German Service PMI	53.2	54.2	53.1	52.5	51.2	50.6	51.6	49.3	51.2	52.5	51.1	50.9	49.0	47.1	49.7	50.6	49.3	51.5	54.6	53.1	52.7	52.4	53.5	50.9	46.9	48.1
Ifo Business Expectations	89.4	89.4	88.1	86.9	86.7	86.6	87.1	87.0	84.9	85.0	85.6	87.9	87.4	88.7	90.4	90.7	91.4	89.5	91.5	90.4	89.7	89.8	90.3	85.9	83.5	83.8
Ifo Employment Barometer	96.0	96.1	95.8	95.2	94.6	94.0	93.7	93.5	92.6	93.5	93.1	92.8	94.0	95.0	93.6	94.0	93.7	92.5	93.5	92.5	91.9	93.4	93.1	93.4	91.4	93.9
Economic Sentiment Indicator	92.6	93.1	93.0	93.0	91.5	90.5	90.9	89.4	86.8	88.3	89.7	89.7	91.0	92.2	91.4	92.5	91.6	90.9	91.7	91.3	89.9	92.9	92.6	92.5	88.7	89.7
Employment Expectations Indicator	97.5	97.0	97.6	96.3	94.7	93.3	93.0	92.6	90.2	92.5	91.3	89.9	92.1	94.3	91.6	92.5	93.2	89.5	91.4	89.4	88.5	91.5	90.7	90.4	84.8	90.5
Consumer Climate Index	102.1	101.9	102.0	103.0	102.2	101.8	102.8	101.8	102.1	101.5	101.6	102.1	101.9	102.7	102.3	102.8	101.9	102.6	101.8	101.4	101.1	102.3	101.6	100.3	98.1	98.9

Source: Haver Analytics, Morgan Stanley Research

Exhibit 60: Staffing database: UK heatmap

UNITED KINGDOM	Apr-24	May-24	Jun-24	Jul-24	Aug-24	Sep-24	Oct-24	Nov-24	Dec-24	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
Key labour indicators																										
Temp placement index (s adj)	46.9	47.2	50.3	49.8	49.5	46.9	46.3	47.7	46.5	41.5	45.0	46.0	46.3	47.1	45.5	44.6	46.8	46.0	50.2	48.8	47.6	50.3	48.0	48.4	50.4	52.2
Perm placement index (s adj)	46.4	48.2	45.5	47.7	44.6	44.9	44.1	40.7	39.5	39.8	43.6	43.4	44.7	44.2	39.1	40.0	44.2	44.8	45.2	45.5	44.3	46.9	49.2	49.2	47.5	44.1
UK Job Vacancies ('000)	885	872	867	853	840	828	810	805	798	793	775	759	735	727	724	737	729	728	730	739	734	724	712	705		
UK Job Vacancies chg YoY%	-14.9%	-15.3%	-14.8%	-14.6%	-14.6%	-13.6%	-14.8%	-12.8%	-12.3%	-11.4%	-13.2%	-14.2%	-16.9%	-16.6%	-16.5%	-13.6%	-13.2%	-12.1%	-9.9%	-8.2%	-8.0%	-8.7%	-8.1%	-7.1%		
Indeed Job Posting	102.5	100.1	97.7	94.4	91.4	87.8	87.1	86.7	84.2	82.5	79.2	78.0	78.2	78.0	77.5	77.8	75.1	75.3	76.3	77.1	75.2	76.6	76.3	71.2	70.3	
Other labour market indicators																										
Unemployment rate (3-months)	4.4%	4.5%	4.3%	4.3%	4.2%	4.4%	4.4%	4.5%	4.5%	4.5%	4.6%	4.7%	4.7%	4.8%	4.8%	4.9%	5.1%	5.2%	5.2%	5.3%	5.3%	5.0%	5.1%			
Regular pay 3-months average chg YoY%	5.9%	5.7%	5.5%	5.3%	5.2%	5.1%	5.4%	5.6%	5.9%	5.8%	5.9%	5.5%	5.3%	5.0%	5.0%	4.8%	4.7%	4.7%	4.6%	4.4%	4.1%	3.8%	3.6%	3.4%		
Redundancies ('000)	99	111	86	83	92	99	112	114	124	117	110	102	114	107	104	113	134	156	145	145	133	136	126			
Redundancy Rate	0.3%	0.4%	0.3%	0.3%	0.3%	0.3%	0.4%	0.4%	0.4%	0.4%	0.4%	0.4%	0.4%	0.4%	0.4%	0.4%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	0.4%			
Confidence indicators																										
UK Composite PMI	54.1	53.0	52.3	52.8	53.8	52.6	51.8	50.5	50.4	50.6	50.5	51.5	48.5	50.3	52.0	51.5	53.5	50.1	52.2	51.2	51.4	53.7	53.7	50.3	52.6	49.7
UK Composite Employment PMI	50.1	50.6	50.3	52.4	52.1	50.5	48.4	48.9	45.6	45.3	43.5	47.1	45.8	47.2	46.6	45.3	46.5	46.3	49.3	44.9	46.7	45.8	46.4	46.9	47.7	47.1
UK Manufacturing PMI	49.1	51.2	50.9	52.1	52.5	51.5	49.9	48.0	47.0	48.3	46.9	44.9	45.4	46.4	47.7	48.0	47.0	46.2	49.7	50.2	50.6	51.8	51.7	51.0	53.7	53.9
UK Service PMI	55.0	52.9	52.1	52.5	53.7	52.4	52.0	50.8	51.1	50.8	51.0	52.5	49.0	50.9	52.8	51.8	54.2	50.8	52.3	51.3	51.4	54.0	53.9	50.5	52.7	49.8

Exhibit 61: Staffing database: US heatmap

UNITED STATES	Apr-24	May-24	Jun-24	Jul-24	Aug-24	Sep-24	Oct-24	Nov-24	Dec-24	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
Key labour indicators																										
Temps at work ('000)	2,655	2,642	2,616	2,598	2,583	2,564	2,548	2,550	2,542	2,539	2,533	2,528	2,528	2,513	2,505	2,494	2,483	2,472	2,452	2,466	2,451	2,470	2,472	2,480	2,489	2,490
Temps at work chg YoY%	-8.7%	-8.9%	-8.8%	-8.3%	-8.1%	-8.0%	-8.1%	-6.8%	-5.4%	-5.8%	-5.4%	-5.3%	-4.8%	-4.9%	-4.2%	-4.0%	-3.8%	-3.6%	-3.8%	-3.3%	-3.6%	-2.7%	-2.4%	-1.9%	-1.5%	-0.9%
JOLTS Job Openings (in '000')	7,529	7,782	7,416	7,426	7,520	6,943	7,379	7,566	7,295	7,431	7,242	6,952	7,098	7,310	7,204	7,089	6,919	7,169	7,170	6,846	6,550	7,240	6,922	6,887	7,618	7,618
JOLTS Job Openings chg YoY%	-24.5%	-16.9%	-19.2%	-14.2%	-18.7%	-25.0%	-14.0%	-12.0%	-14.4%	-11.3%	-14.2%	-15.3%	-5.7%	-6.1%	-2.9%	-4.5%	-8.0%	3.3%	-2.8%	-9.5%	-10.2%	-2.6%	-4.4%	-0.9%	7.3%	
American Staffing Association Staffing Index	89.3	89.0	89.3	87.1	89.4	89.7	90.0	88.4	83.9	80.4	82.6															
Indeed Job Posting	118.5	115.9	114.2	113.7	113.4	112.4	110.1	109.5	110.3	110.2	109.3	107.8	106.8	105.9	105.2	104.3	104.8	102.8	101.0	101.3	102.9	103.3	104.6	104.1	102.7	102.0
Other labour market indicators																										
Unemployment rate	3.9%	3.9%	4.1%	4.2%	4.2%	4.1%	4.1%	4.2%	4.1%	4.0%	4.2%	4.2%	4.2%	4.3%	4.1%	4.3%	4.3%	4.4%		4.5%	4.4%	4.3%	4.4%	4.3%	4.3%	4.3%
ADP Nonfarm Private Payroll Employment (in '000')	131,164	131,365	131,469	131,589	131,635	131,614	131,602	131,704	131,861	132,001	132,015	131,962	131,939	131,915	131,914	131,991	132,040	132,128	132,148	132,222	132,259	132,270	132,336	132,397	132,502	132,624
ADP Nonfarm Private Payroll chg YoY%	-24.5%	-16.9%	-19.2%	-14.2%	-18.7%	-25.0%	-14.0%	-12.0%	-14.4%	-11.3%	-14.2%	-15.3%	-5.7%	-6.1%	-2.9%	-4.5%	-8.0%	3.3%	-2.8%	-9.5%	-10.2%	-2.6%	-4.4%	-0.9%	7.3%	
JOLTS Hiring Rate	5.469	5.492	5.137	5.430	5.204	5.427	5.228	5.155	5.292	5.238	5.236	5.333	5.391	5.328	5.327	5.225	5.145	5.244	5.180	5.019	5.272	5.347	4.899	5.535	5.116	
JOLTS Hiring Rate	3.456	3.492	3.3%	3.4%	3.3%	3.4%	3.3%	3.3%	3.3%	3.3%	3.3%	3.4%	3.4%	3.4%	3.4%	3.3%	3.2%	3.3%	3.2%	3.3%	3.2%	3.4%	3.1%	3.5%	3.16	
JOLTS Quits (in '000')	3,438	3,386	3,280	3,359	3,240	3,123	3,215	3,050	3,085	3,203	3,153	3,456	3,144	3,287	3,254	3,132	3,095	2,990	2,980	3,119	3,225	3,131	3,046	3,160	2,977	
JOLTS Quits chg YoY%	2.2%	2.1%	2.1%	2.1%	2.1%	2.0%	2.0%	1.9%	1.9%	2.0%	2.0%	2.2%	2.0%	2.1%	2.1%	2.0%	2.0%	1.9%	1.9%	2.0%	2.0%	2.0%	1.9%	2.0%	1.9%	
JOLTS Layoffs (in '000')	1,548	1,747	1,497	1,711	1,683	1,780	1,650	1,831	1,689	1,738	1,867	1,595	1,818	1,671	1,843	1,772	1,832	1,816	1,891	1,660	1,666	1,660	1,714	1,884	1,692	
JOLTS Layoff Rate	2.2%	2.1%	2.1%	2.1%	2.1%	2.0%	2.0%	1.9%	1.9%	2.0%	2.0%	2.2%	2.0%	2.1%	2.1%	2.0%	2.0%	1.9%	1.9%	2.0%	2.0%	2.0%	1.9%	2.0%	1.9%	
Average hourly earnings chg YoY%	1.3%	1.2%	0.9%	0.8%	0.7%	0.7%	0.7%	0.7%	0.6%	0.5%	0.6%	0.6%	0.6%	0.4%	0.3%	0.3%	0.3%	0.4%	0.4%	0.4%	0.3%	0.2%	0.2%	0.3%	0.4%	
Participation rate	62.6%	62.6%	62.6%	62.7%	62.7%	62.7%	62.5%	62.4%	62.5%	62.6%	62.5%	62.6%	62.4%	62.3%	62.2%	62.3%	62.5%			62.5%	62.4%	62.1%	62.0%	61.9%	61.8%	
Confidence indicators																										
US Composite PMI	51.3	54.5	54.8	54.3	54.6	54.0	54.1	54.9	55.4	52.7	51.6	53.5	50.6	53.0	52.9	55.1	54.6	53.9	54.6	54.2	52.7	53.0	51.9	50.3	51.7	51.5
US Composite Employment PMI	48.4	49.9	52.5	51.6	48.6	49.5	49.5	49.4	51.4	54.0	49.4	51.5	50.2	51.6	52.5	51.5	52.1	50.6	51.3	52.0	50.3	50.7	50.4	49.7	50.2	47.9
US Manufacturing PMI	51.1	53.0	52.1	50.5	48.2	47.9	49.2	47.9	47.7	51.8	54.5	48.6	49.6	49.4	53.1	51.3	55.2	52.4	53.7	54.4	53.6	55.2	52.7	53.2	56.0	56.6
US Service PMI	51.3	54.8	55.3	55.0	55.7	55.2	55.0	56.1	56.8	52.9	51.0	54.4	50.8	53.7	52.9	55.7	54.5	54.2	54.8	54.1	52.5	52.7	51.7	49.8	51.0	50.7
Consumer Sentiment	77.2	69.1	68.2	66.4	67.9	70.1	70.5	71.8	74.0	71.7	64.7	57.0	52.2	52.2	60.7	61.7	58.2	55.1	53.6	51.0	52.9	56.4	56.6	53.3	49.8	44.8

Source: Haver Analytics, Morgan Stanley Research

Exhibit 62: Staffing database: Netherlands heatmap

NETHERLANDS	Apr-24	May-24	Jun-24	Jul-24	Aug-24	Sep-24	Oct-24	Nov-24	Dec-24	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
Key labour indicators																										
Temporary Hours chg YoY%	-8.0%	-10.0%	-8.0%	-9.0%	-7.0%	-7.0%	-7.0%	-7.0%	-5.0%	-9.0%	-6.0%	-6.0%	-6.0%	-1.0%	-3.0%	-5.0%	-4.0%	-4.0%	-5.0%	-5.0%	-3.0%	-6.0%	-6.0%	-5.0%	-5.0%	
Temporary Turnover chg YoY%	-1.0%	-4.0%	-2.0%	-3.0%	0.0%	-1.0%	-1.0%	-1.0%	-1.0%	-5.0%	-2.0%	-1.0%	-2.0%	5.0%	2.0%	0.0%	2.0%	1.0%	0.0%	0.0%	3.0%	1.0%	3.0%	4.0%	5.0%	
Other labour market indicators																										
Unemployment	3.7%	3.6%	3.6%	3.6%	3.7%	3.7%	3.7%	3.7%	3.7%	3.8%	3.8%	3.9%	3.8%	3.8%	3.8%	3.8%	3.9%	4.0%	4.0%	4.0%	4.0%	4.0%	4.1%	4.0%	3.9%	
Labour force participation	76.2%	76.2%	76.1%	76.0%	75.8%	75.8%	75.8%	75.8%	75.9%	76.0%	76.0%	76.0%	76.1%	76.1%	76.1%	76.2%	76.3%	76.4%	76.4%	76.2%	76.2%	76.3%	76.3%	76.2%	76.2%	
Contractual wage increase	4.8%	4.6%	4.6%	4.8%	5.6%	4.0%	4.0%	4.4%		4.2%	4.4%	4.2%	3.7%	4.0%	3.9%	3.5%	3.9%	3.4%	3.1%	3.3%	3.3%	3.4%	2.9%	3.1%	3.1%	3.5%
Bankruptcies (LTM)	64.6	64.9	64.2	67.5	67.7	68.6	70.2	69.4	70.2	72.2	68.5	69.4	70.7	68.5	69.0	70.6	70.1	71.1	70.1	69.2	70.2	70.2	68.4	70.2	68.5	
Confidence indicators																										
Netherlands Manufacturing PMI	51.3	52.5	50.7	49.2	47.7	48.2	47.0	46.6	48.6	48.4	50.0	49.6	49.2	49.0	51.2	51.9	51.9	53.7	51.8	51.8	51.1	50.1	50.8	52.0	54.4	55.9
Netherlands Manufacturing Employment PMI	51.6	51.2	51.1	50.5	49.0	49.4	47.8	47.5	49.0	48.6	48.2	47.9	47.3	46.9	50.9	51.9	52.9	53.1	48.9	49.2	50.6	50.5	50.3	49.3	49.1	50.4
Economic Sentiment Indicator	98.3	99.4	100.1	99.9	100.8	101.3	98.9	100.3	100.1	99.1	100.3	100.1	98.1	96.9	97.3	97.2	100.8	100.1	100.1	99.9	100.2	102.5	102.3	100.8	98.3	97.4
Employment Expectation Indicator	102.6	101.5	100.7	101.3	101.6	103.0	102.2	100.1	103.0	104.9	103.2	102.8	101.7	101.8	104.9	102.1	102.3	102.6	103.5	104.5	102.5	102.8	103.6	103.4	102.8	102.5
Consumer Confidence	-11.4	-10.8	-11.4	-10.6	-10.0	-7.7	-12.4	-14.2	-13.3	-14.1	-16.8	-17.5	-19.1	-17.0	-15.5	-13.7	-14.0	-13.9	-12.9	-9.3	-10.4	-12.0	-12.2	-18.1	-23.9	-22.0

Source: ABU, Haver Analytics, Morgan Stanley Research

Exhibit 63: Staffing database: Belgium heatmap

BELGIUM	Apr-24	May-24	Jun-24	Jul-24	Aug-24	Sep-24	Oct-24	Nov-24	Dec-24	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
Key labour indicators																										
Federgon Index	90.3	91.2	89.5	87.9	88.2	88.6	88.7	87.8	89.3	88.6	87.3	87.2	85.8	86.7	87.7	85.9	87.2	85.9	85.9	84.8	85.9	84.4	84.2	83.3	83.4	
Federgon Index chg YoY%	-4.8%	-4.1%	-3.3%	-7.5%	-3.6%	-4.1%	-4.0%	-4.1%	-3.8%	-2.1%	-3.0%	-3.0%	-5.0%	-4.8%	-2.0%	-2.2%	-1.2%	-3.1%	-3.1%	-3.4%	-3.8%	-4.7%	-3.6%	-4.5%	-2.7%	
Hours Worked chg YoY%	-8.7%	-4.2%	0.2%	-12.3%	-1.9%	-4.5%	-4.1%	0.7%	-5.5%	-3.0%	-3.0%	-4.2%	-4.5%	-5.9%	-1.9%	0.1%	0.8%	-4.7%	-4.4%	-5.8%	-5.2%	-3.3%	-3.6%	-6.6%	-5.4%	
Other labour market indicators																										
Unemployment rate	5.6%	5.6%	5.6%	5.6%	5.7%	5.8%	5.8%	5.9%	6.0%	6.1%	6.2%	6.2%	6.1%	6.0%	6.1%	6.1%	6.1%	6.3%	6.4%	6.4%	6.4%	6.3%	6.3%	6.2%	6.2%	
Bankruptcies LTM	891	893	910	882	864	923	929	914	922	924	928	932	930	927	954	925	908	969	962	953	976	974	976	993	992	
Confidence indicators																										
Economic Sentiment Indicator	94.0	93.9	96.0	91.6	93.4	90.7	92.7	94.2	89.4	93.8	94.5	92.1	88.2	96.0	97.7	95.0	95.0	95.8	95.6	95.6	90.2	92.5	92.0	89.4	88.1	89.5
Employment Expectations Indicator	98.9	98.2	94.3	96.5	94.8	96.9	100.1	98.7	97.6	95.6	96.1	92.8	89.9	92.1	95.0	95.0	92.1	92.2	86.5	91.5	87.8	88.0	88.1	84.5	82.6	78.4
Consumer Confidence	-10.2	-11.0	-8.1	-9.9	-8.3	-9.8	-8.3	-11.3	-12.3	-13.7	-12.5	-15.8	-19.1	-14.2	-12.7	-12.0	-12.7	-9.2	-13.1	-11.4	-13.9	-14.0	-14.1	-18.3	-19.8	-20.4

Exhibit 65: Staffing database: Italy heatmap

ITALY	Apr-24	May-24	Jun-24	Jul-24	Aug-24	Sep-24	Oct-24	Nov-24	Dec-24	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
Key labour indicators																										
Unemployment Rate	6.8%	6.5%	6.7%	6.4%	6.3%	6.1%	6.1%	6.1%	6.4%	6.5%	6.1%	6.3%	6.1%	6.5%	6.2%	6.0%	5.9%	6.0%	5.8%	5.6%	5.6%	5.2%	5.4%	5.2%	5.1%	
Other labour market indicators																										
Unemployed	1,736	1,667	1,713	1,639	1,610	1,549	1,548	1,564	1,649	1,684	1,576	1,625	1,570	1,683	1,589	1,536	1,505	1,536	1,483	1,437	1,426	1,332	1,368	1,328	1,310	
Unemployed chg YoY%	-12.9%	-15.7%	-9.4%	-17.2%	-16.5%	-21.7%	-22.5%	-18.5%	-8.8%	-7.6%	-15.9%	-7.8%	-9.6%	1.0%	-7.2%	-6.3%	-6.5%	-0.8%	-4.2%	-5.1%	-13.5%	-20.9%	-13.2%	-18.3%	-16.6%	
Labour Participation Rate	66.8%	66.6%	66.8%	66.8%	66.7%	66.6%	66.5%	66.5%	66.8%	67.0%	66.8%	67.0%	66.6%	67.0%	66.8%	66.5%	66.4%	66.6%	66.6%	66.3%	66.4%	66.3%	66.4%	66.3%	66.6%	
Confidence indicators																										
Italy Composite PMI	52.6	52.3	51.3	50.3	50.8	49.7	51.0	47.7	49.7	49.7	51.9	50.5	52.1	52.5	51.1	51.5	51.7	51.7	53.1	53.8	50.3	51.4	52.1	49.2	50.5	50.4
Italy Composite Employment PMI	53.2	52.7	52.2	51.8	51.4	51.4	49.6	49.4	50.2	48.7	50.5	50.4	50.4	51.2	52.0	51.3	51.2	51.2	50.2	50.2	50.0	50.6	51.5	50.2	50.8	50.6
Italy Manufacturing PMI	47.3	45.6	45.7	47.4	49.4	48.3	46.9	44.5	46.2	46.3	47.4	46.6	49.3	49.2	48.4	49.8	50.4	49.0	49.9	50.6	47.9	48.1	50.6	51.3	52.1	52.9
Italy Service PMI	54.3	54.2	53.7	51.7	51.4	50.5	52.4	49.2	50.7	50.4	53.0	52.0	52.9	53.2	52.1	52.3	51.5	52.5	54.0	55.0	51.5	52.9	52.3	48.8	49.8	49.4
Business Confidence Indicator	96.1	95.3	94.6	94.3	94.8	95.7	93.4	93.0	95.0	95.2	94.5	93.1	91.8	93.3	94.1	93.8	93.7	93.8	94.4	96.1	96.4	97.5	97.3	97.2	95.1	94.1

Source: Haver Analytics, Morgan Stanley Research

Exhibit 66: Staffing database: Australia heatmap

AUSTRALIA	Apr-24	May-24	Jun-24	Jul-24	Aug-24	Sep-24	Oct-24	Nov-24	Dec-24	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
Key labour indicators																										
SEEK new job ads index	123.3	123.8	121.7	124.6	124.1	122.5	118.6	117.5	116.6	119.4	118.5	118.2	118.4	118.3	117.3	118.2	119.2	118.2	116.2	116.3	115.0	118.5	115.9	115.1	115.0	
SEEK new job ads chg YoY%	-16.0%	-12.4%	-14.2%	-9.9%	-6.6%	-10.2%	-10.4%	-8.9%	-11.0%	-6.4%	-6.1%	-10.4%	-4.0%	-4.5%	-3.6%	-5.1%	-3.9%	-3.5%	-2.1%	-1.0%	-1.4%	-0.8%	-2.2%	-2.6%	-2.8%	
Indeed Job Posting	162.0	161.3	160.5	158.3	157.1	157.5	157.4	157.4	156.1	158.4	155.6	149.0	150.2	148.5	150.6	151.0	148.6	148.9	149.7	148.8	146.9	153.1	163.0	161.9	151.4	152.7
Other labour market indicators																										
Unemployment Rate	4.1%	4.0%	4.0%	4.2%	4.1%	4.0%	4.1%	3.9%	4.0%	4.1%	4.1%	4.1%	4.1%	4.1%	4.3%	4.3%	4.3%	4.4%	4.3%	4.3%	4.1%	4.1%	4.3%	4.3%	4.5%	
Labour Participation Rate	66.8%	66.7%	66.8%	67.1%	67.1%	67.1%	67.0%	66.9%	67.1%	67.2%	66.7%	66.7%	67.1%	66.9%	67.0%	67.0%	66.8%	66.9%	66.9%	66.6%	66.7%	66.7%	66.8%	66.8%	66.7%	
Internet Vacancy Index	112.1	112.7	107.6	101.6	108.5	109.4	106.2	104.7	101.3	104.4	99.9	96.4	101.4	98.4	100.3	100.0	95.5	98.4	98.4	97.3	100.5	103.2	100.0	100.9	100.0	
Application per Ad Index	187.3	191.3	197.4	198.2	199.6	200.3	206.2	207.2	207.9	209.2	211.1	215.2	217.0	222.4	215.2	221.4	221.7	226.7	217.7	211.9	207.6	203.4	209.4	214.8		
Advertised Salary Index chg YoY%	4.3%	4.3%	4.3%	4.2%	4.0%	3.8%	3.6%	3.6%	3.6%	3.6%	3.6%	3.7%	3.7%	3.6%	3.5%	3.4%	3.4%	3.5%	3.7%	3.7%	3.8%	3.9%	3.9%	4.0%	4.1%	
Confidence indicators																										
Australia Composite PMI	53.0	52.1	50.7	49.9	51.7	49.6	50.2	50.2	50.2	51.1	50.6	51.6	51.0	50.5	51.6	53.8	55.5	52.4	52.1	52.6	51.0	55.7	52.4	46.6	50.4	48.7
Australia Manufacturing PMI	49.6	49.7	47.2	47.5	48.5	46.7	47.3	49.4	47.8	50.2	50.4	52.1	51.7	51.0	50.6	51.3	53.0	51.4	49.7	51.6	51.6	52.3	51.0	49.8	51.3	50.7
Australia Service PMI	53.6	52.5	51.2	50.4	52.5	50.5	51.0	50.5	50.8	51.2	50.8	51.6	51.0	50.6	51.8	54.1	55.8	52.4	52.5	52.8	51.1	56.3	52.8	46.3	50.7	48.7
Consumer Sentiment Index	82.4	82.2	83.6	82.7	85.0	84.6	89.8	94.6	92.8	92.1	92.2	95.9	90.1	92.1	92.6	93.1	98.5	95.4	92.1	103.8	94.5	92.9	90.5	91.6	80.1	83.0
Unemployment Expectations Index	124.6	129.8	133.1	128.6	133.5	138.4	129.8	120.5	123.7	127.2	125.8	117.9	123.9	121.3	127.4	128.7	125.6	131.4	127.6	139.5	126.8	129.4	129.8	134.7	147.8	140.0

Source: SEEK, Haver Analytics, Morgan Stanley Research

Exhibit 67: Staffing database: Japan heatmap

JAPAN	Apr-24	May-24	Jun-24	Jul-24	Aug-24	Sep-24	Oct-24	Nov-24	Dec-24	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
Labour market indicators																										
Active Job Openings (in 000')	2,172	2,156	2,132	2,158	2,136	2,159	2,223	2,204	2,160	2,154	2,177	2,185	2,141	2,111	2,091	2,102	2,061	2,087	2,112	2,057	2,037	2,045	2,073	2,073	2,030	
Active Job Openings chg YoY%	-2.8%	-2.3%	-3.8%	-2.0%	-3.7%	-3.1%	-2.0%	-1.5%	-1.0%	-1.1%	-2.9%	-2.4%	-1.5%	-2.1%	-1.9%	-2.6%	-3.5%	-3.3%	-5.0%	-6.7%	-5.7%	-5.1%	-4.8%	-5.1%	-5.1%	
New Job Openings	748.7	754.7	719.8	765.2	725.4	736.5	828.5	720.8	691.7	794.3	751.8	729.9	764.0	717.9	700.2	757.7	680.3	715.5	777.5	646.3	681.7	760.9	692.9	708.6	735.1	
New Job Openings chg YoY%	-1.7%	0.0%	-8.8%	1.7%	-4.9%	-5.6%	1.8%	-1.8%	-3.1%	0.0%	-5.4%	-3.2%	2.0%	-4.9%	-2.7%	-1.0%	-6.2%	-2.8%	-6.2%	-10.3%	-1.4%	-4.2%	-7.8%	-2.9%	-3.8%	
Labour Participation Rate	63.1%	63.3%	63.7%	63.5%	63.6%	63.5%	63.5%	63.5%	63.4%	63.2%	63.2%	63.3%	63.7%	64.0%	64.2%	63.9%	64.0%	64.2%	64.2%	64.1%	63.9%	63.5%	63.5%	63.6%	64.4%	
Confidence indicators																										
Japan Composite PMI	52.3	52.6	49.7	52.5	52.9	52.0	49.6	50.1	50.5	51.1	52.0	48.9	51.2	50.2	51.5	51.6	52.0	51.3	51.5	52.0	51.1	53.1	53.9	53.0	52.2	51.1
Japan Composite Employment PMI	53.0	52.9	52.3	52.6	51.4	51.1	51.1	51.7	51.6	52.0	51.2	51.6	51.7	51.5	52.2	50.4	50.5	50.9	50.8	51.8	53.1	53.2	52.7	51.8	52.1	51.4
Japan Manufacturing PMI	49.6	50.4	50.0	49.1	49.8	49.7	49.2	49.0	49.6	48.7	49.0	48.4	48.7	49.4	50.1	48.9	49.7	48.5	48.2	48.7	50.0	51.5	53.0	51.6	55.1	54.5
Japan Service PMI	54.3	53.8	49.4	53.7	53.7	53.1	49.7	50.5	50.9	53.0	53.7	50.0	52.4	51.0	51.7	53.6	53.1	53.3	53.1	53.2	51.6	53.7	53.8	53.4	51.0	50.0
Consumer Confidence Index	38.5	37.1	36.9	37.2	36.9	37.0	36.1	36.0	35.6	34.8	34.4	33.8	31.5	33.3	34.7	34.0	34.9	35.4	35.9	37.2	36.9	37.6	39.7	33.3	32.2	33.6

Source: Haver Analytics, Morgan Stanley Research

Business Services Comps

Exhibit 68: Morgan Stanley Business Services comps (1)

Stock	Price	2026e	P/E	2027e	2026e	EV/NOPAT	2027e	2026e	EV/EBIT	2027e	2026e	EV/EBITDA	2027e	2026e	EV/Sales	2027e
Cleaning / Pest Control/ Catering																
Rentokil	GBP 442	20.4x		18.3x	20.8x	18.3x	15.6x	13.7x	9.7x	8.8x	2.5x	2.3x				
ISS	DKK 252	12.3x		11.3x	14.7x	13.2x	11.6x	10.3x	8.6x	7.7x	0.6x	0.5x				
Elis	EUR 26	12.8x		11.3x	15.5x	14.5x	11.4x	10.5x	5.2x	4.8x	1.9x	1.7x				
Data & Analytics																
Experian (Mar, yr end)	GBP 2620	17.9x		15.9x	18.9x	16.7x	14.0x	12.3x	11.4x	10.2x	4.1x	3.6x				
Distributors																
Bunzl	GBP 2470	14.0x		13.5x	16.1x	15.1x	11.3x	10.6x	8.7x	8.2x	0.8x	0.8x				
Ferguson	GBP 17160	20.8x		18.4x	20.5x	18.2x	15.2x	13.6x	13.6x	12.2x	1.4x	1.3x				
Travis Perkins	GBP 543	19.4x		13.8x	21.1x	16.7x	14.6x	11.7x	6.0x	5.4x	0.4x	0.4x				
RS Group (Mar, yr end)	GBP 649	15.7x		13.9x	15.7x	14.2x	11.5x	10.4x	9.4x	8.6x	1.1x	1.0x				
Diploma (Sept, yr end)	GBP 7020	29.2x		27.4x	29.9x	27.6x	21.5x	19.8x	19.9x	18.3x	5.4x	4.8x				
Chemical Distributors																
Azelis	EUR 10	17.5x		15.3x	13.5x	12.1x	9.6x	8.9x	8.7x	8.0x	1.0x	0.9x				
Brenntag	EUR 57	17.0x		15.1x	19.5x	17.5x	12.5x	11.5x	8.9x	8.3x	0.8x	0.7x				
IMCD	EUR 89	15.5x		14.1x	17.1x	15.5x	12.6x	11.5x	11.7x	10.7x	1.3x	1.2x				
Outsourcing																
TP	EUR 59	4.3x		4.0x	7.1x	5.7x	5.0x	4.0x	3.5x	2.9x	0.7x	0.6x				
Power Rental																
Sunbelt Rentals (Apr, yr end)	GBP 5958	19.2x		16.5x	22.3x	20.0x	15.8x	14.2x	8.4x	7.7x	3.6x	3.3x				
Security																
Securitas	SEK 156	12.5x		11.7x	13.9x	13.1x	10.2x	9.6x	9.1x	8.6x	0.8x	0.7x				
Verisure	EUR 11	19.4x		16.0x	17.9x	15.7x	15.2x	13.3x	8.6x	7.7x	4.0x	3.6x				
Multi-technical Services																
SPIE	EUR 48	14.8x		13.4x	26.0x	22.0x	12.3x	10.8x	9.5x	8.3x	1.0x	0.9x				
Staffing																
Adecco	CHF 17	7.5x		6.4x	10.7x	9.3x	7.0x	6.0x	5.7x	5.0x	0.2x	0.2x				
Hays (June, yr end)	GBP 35	20.3x		11.8x	13.5x	8.7x	9.5x	6.1x	4.4x	3.4x	0.1x	0.1x				
Pagegroup	GBP 123	16.0x		10.0x	13.4x	8.6x	8.8x	3.7x	3.0x	2.0x	0.2x	0.2x				
Randstad	EUR 27	10.6x		9.4x	12.6x	10.9x	8.8x	7.8x	6.2x	5.5x	0.3x	0.3x				
TIC																
Bureau Veritas	EUR 26	16.4x		14.8x	17.6x	16.0x	12.3x	11.2x	9.9x	9.1x	2.0x	1.9x				
SGS	CHF 89	22.0x		20.2x	21.5x	19.5x	16.6x	15.1x	10.8x	9.9x	2.7x	2.6x				
Eurofins	EUR 64.9	15.1x		13.3x	18.1x	15.7x	13.1x	11.5x	8.8x	7.9x	2.0x	1.8x				
Sector Mean		16.3x		14.0x	17.4x	15.2x	12.3x	10.9x	8.8x	7.9x	1.6x	1.5x				
Sector Median		16.2x		13.8x	17.3x	15.6x	12.3x	11.0x	8.8x	8.1x	1.0x	1.0x				

Source: Morgan Stanley Research estimates, Priced as at 5th of June 2026

Exhibit 69: Morgan Stanley Business Services comps (2)

Stock	Dividend Yield (%)		FCFE Yield (%)		ROIC (%)		Net Debt/EBITDA		Share Performance (%)		
	2026e	2027e	2026e	2027e	2026e	2027e	2026e	2027e	1M	3M	12M
Cleaning / Pest Control/ Catering											
Rentokil	2.1%	2.3%	6.3%	7.4%	9.8%	11.0%	1.8x	1.4x	-10.4%	-6.1%	26.4%
ISS	1.6%	1.8%	7.7%	7.8%	15.2%	16.5%	2.4x	1.9x	0.4%	16.6%	44.8%
Elis	2.0%	2.3%	6.3%	7.3%	7.6%	8.0%	1.7x	1.4x	-3.9%	4.6%	10.0%
Data & Analytics											
Experian (Mar, yr end)	2.2%	2.4%	4.5%	6.0%	17.8%	19.7%	1.7x	1.4x	-2.2%	-4.9%	-31.2%
Distributors											
Bunzl	3.1%	3.2%	5.2%	5.0%	11.1%	11.7%	1.8x	1.4x	1.0%	10.6%	8.0%
Ferguson	1.6%	1.6%	5.2%	4.7%	20.7%	22.2%	0.7x	0.6x	-9.2%	-5.5%	8.7%
Travis Perkins	1.9%	2.7%	-0.6%	10.2%	3.7%	4.6%	2.3x	2.1x	2.6%	-13.0%	-11.7%
RS Group (Mar, yr end)	3.8%	4.3%	5.5%	6.0%	11.6%	12.8%	1.0x	0.8x	6.9%	-1.7%	13.9%
Diploma (Sept, yr end)	0.9%	1.0%	3.3%	3.7%	20.3%	22.1%	0.8x	0.3x	0.6%	31.0%	51.0%
Chemical Distributors											
Azelis	1.7%	2.0%	10.7%	11.8%	6.9%	7.5%	3.2x	2.7x	-7.6%	33.8%	-25.2%
Brenntag	3.5%	3.7%	2.8%	8.9%	8.0%	8.8%	2.3x	2.0x	-9.6%	20.1%	-6.5%
IMCD	2.1%	2.4%	7.4%	7.6%	10.8%	11.6%	2.5x	2.1x	-11.2%	21.5%	-23.9%
Outsourcing											
TP	7.7%	8.8%	23.3%	29.8%	12.3%	13.6%	1.7x	1.2x	-6.8%	1.9%	-34.6%
Power Rental											
Sunbelt Rentals (Apr, yr end)	1.4%	1.6%	12.4%	13.7%	10.8%	12.0%	1.6x	1.4x	0.0%	0.0%	23.8%
Security											
Securitas	4.4%	4.7%	6.9%	7.3%	11.7%	12.0%	2.1x	1.8x	0.3%	-1.5%	9.8%
Verisure	0.6%	1.8%	1.9%	3.1%	6.6%	7.5%	2.7x	2.3x	0.8%	20.9%	-
Multi-technical Services											
SPIE	2.7%	3.0%	7.7%	8.2%	7.9%	9.4%	1.8x	1.3x	-3.1%	-4.2%	7.8%
Staffing											
Adecco	6.8%	7.7%	11.2%	14.1%	8.7%	9.6%	2.4x	2.0x	-6.7%	-21.4%	-26.1%
Hays (June, yr end)	2.0%	3.4%	1.8%	6.0%	9.0%	12.8%	-0.3x	-0.4x	3.8%	-10.6%	-50.5%
Pagegroup	9.1%	9.5%	8.1%	9.4%	8.1%	12.4%	-0.2x	-0.2x	-7.3%	-19.2%	-54.6%
Randstad	5.9%	5.9%	8.2%	10.9%	9.2%	10.3%	1.6x	1.3x	8.8%	1.5%	-24.7%
TIC											
Bureau Veritas	4.0%	4.4%	6.6%	8.3%	19.7%	22.2%	1.6x	1.4x	-3.3%	-11.4%	-14.6%
SGS	3.6%	3.8%	5.5%	6.9%	19.1%	22.3%	1.9x	1.5x	4.7%	-4.0%	5.5%
Eurofins	1.3%	1.6%	7.0%	7.8%	10.1%	11.1%	1.9x	1.5x	10.5%	-1.1%	14.0%
Sector Mean	3.2%	3.6%	6.9%	8.8%	11.5%	13.0%	1.7x	1.4x	-1.7%	2.4%	-3.5%
Sector Median	2.2%	2.6%	6.5%	7.7%	10.5%	11.8%	1.8x	1.4x	-1.1%	-1.3%	5.5%

Source: Morgan Stanley Research estimates, Priced as at 5th of June 2026

Exhibit 70: Morgan Stanley Business Services comps (3)

	Organic Growth		EBIT Margin (%)		EPS		EPS Growth (%)		Net Debt
Stock	2026e	2027e	2026e	2027e	2026e	2027e	2026e	2027e	2026e
Cleaning / Pest Control/ Catering									
Rentokil	4.2%	4.5%	16.1%	16.9%	0.29	0.32	12.2%	11.7%	3,435
ISS	6.0%	5.1%	5.2%	5.3%	20.5	22.4	23.9%	9.0%	15,202
Elis	3.7%	4.0%	16.3%	16.5%	2.0	2.3	12.0%	13.1%	3,017
Data & Analytics									
Experian (Mar, yr end)	8.0%	7.6%	28.4%	29.1%	1.8	2.0	14.9%	13.2%	5,237
Distributors									
Bunzl	1.1%	2.0%	7.5%	7.5%	176.1	183.2	-1.3%	4.0%	2,041
Ferguson	3.5%	5.4%	9.4%	9.6%	11.0	12.5	8.5%	13.3%	2,533
Travis Perkins	1.1%	3.2%	2.8%	3.4%	28.0	39.4	-7.6%	40.9%	737
RS Group (Mar, yr end)	2.6%	4.4%	9.2%	9.5%	41.2	46.8	-1.1%	9.0%	329
Diploma (Sept, yr end)	12.2%	6.2%	25.3%	24.1%	240.5	256.0	34.9%	6.9%	401
Chemical Distributors									
Azelis	1.8%	3.6%	10.0%	10.1%	0.6	0.7	27.9%	14.5%	1,470
Brenntag	0.4%	2.6%	6.0%	6.3%	3.3	3.8	51.9%	12.8%	2,916
IMCD	0.4%	5.1%	10.4%	10.6%	5.7	6.3	5.0%	9.9%	1,455
Outsourcing									
TP	0.5%	2.6%	13.7%	14.7%	13.6	14.9	5.0%	9.4%	3,415
Power Rental									
Sunbelt Rentals (Apr, yr end)	3.3%	6.7%	22.3%	22.8%	3.6	4.4	-3.4%	20.6%	8,067
Security									
Securitas	-0.8%	3.6%	7.7%	7.7%	12.4	13.3	7.0%	6.8%	26,267
Verisure	9.8%	9.6%	26.0%	26.9%	0.6	0.7	62.2%	21.2%	5,134
Multi-technical Services									
SPIE	2.8%	3.8%	7.8%	7.9%	3.3	3.6	21.2%	10.2%	2,107
Staffing									
Adecco	3.1%	2.6%	3.1%	3.3%	2.4	2.8	2.2%	16.4%	2,128
Hays (June, yr end)	-7.0%	2.0%	1.0%	1.4%	1.3	2.1	0.8%	59.7%	-27
Pagegroup	0.2%	4.0%	2.6%	3.9%	7.7	12.2	15.3%	59.5%	-23
Randstad	1.5%	2.7%	3.1%	3.3%	2.6	2.9	2.1%	13.7%	1,666
TIC									
Bureau Veritas	5.0%	6.4%	16.5%	16.7%	1.56	1.73	10.0%	10.9%	2,182
SGS	5.5%	6.2%	16.1%	16.3%	4.1	4.4	6.8%	9.0%	3,485
Eurofins	4.8%	6.5%	15.4%	15.9%	4.31	4.88	11.1%	13.4%	3,259

Source: Morgan Stanley Research estimates, Priced as at 5th of June 2026

Risk Reward – Adecco Group (ADEN.S)

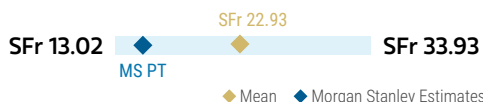
Leverage remains too elevated

PRICE TARGET SFr 15.00

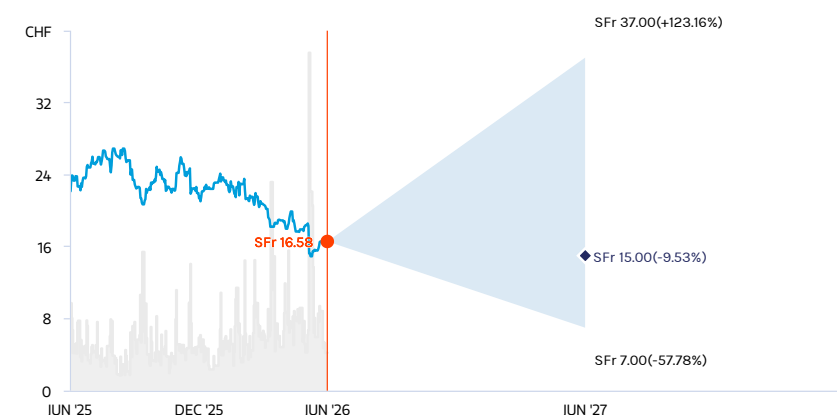
Our price target is based on the rounded average of: 1) DCF – SFr 18.5 based on a WACC of 10.5%, terminal growth rate of +1% and terminal EBITA margin of 3.8%; and 2) EV/EBITA target multiple – SFr 11 based on 7x NTM EBITA. This is a discount to Adecco's mid-cycle average to reflect the uncertain environment and structural risks.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

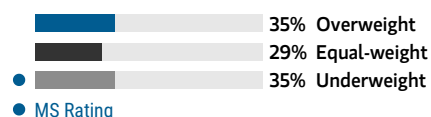
UNDERWEIGHT THESIS

Organic growth converging: We think Adecco's organic growth could deteriorate and gradually converge toward staffing peers.

Company-specific risks: These include the risk of lower organic growth at Akkodis, large exposure to France, elevated leverage and potential shareholder dilution. We think this justifies the discount at which the stock is trading to peers.

Valuation less demanding: Adecco trades on 7.5x EV/EBITA NTM, on our estimates, 5% below the historical average and slightly below peer Randstad.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

BULL CASE

SFr 37.00

Broad staffing recovery, no AI impact

Assumes organic growth of c5% in FY26, driven by improving macro sentiment, and similar level in FY27/29e as well. We assume margins improve to 3.4% this year and go back to 5-6% over the midterm. This scenario is consistent with a usual cycle combined with no volume/pricing headwinds from AI.

BASE CASE

SFr 15.00

LSD organic growth, lack of gross margin recovery

We forecast c3.6% organic growth in FY26 as positive momentum remains unchanged, especially in flex placement. EBIT margin flat at 3% reflecting continued pressure on gross margin, partially offset by slight operating leverage. We assume subdued organic growth over the midterm (2.7% FY27-29 average) due to AI disruption and limited 20bps improvement in margin per year.

BEAR CASE

SFr 7.00

Stronger AI impact combined with de-rating

We reflect the impact of (1) continued challenging staffing backdrop and (2) stronger headwinds from AI. We assume organic growth of 0% in FY26 and -5% next year. As a result, EBIT margin declines to 2.6% this year and 2.5% in 2027. We assume -2% organic growth per year over the midterm and no change in margin as volume/pricing pressures are offset by SG&A reduction thanks to AI-led efficiency gains. We also apply a lower fair value multiple, in line with other AI disrupted stocks.

Risk Reward – Adecco Group (ADEN.S)

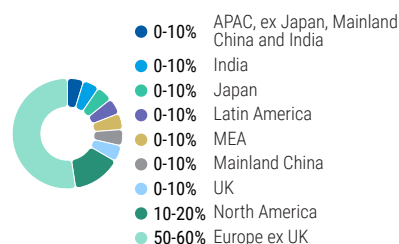
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Organic growth (%)	0.8	3.6	2.6	2.8
Gross Margin (%)	19.2	18.8	18.8	18.8
EBITA margin (%)	3.0	3.0	3.1	3.3
Net Debt/EBITDA	2.7	2.5	2.2	1.8

INVESTMENT DRIVERS

- GDP, inflection in PMIs, monthly staffing data
- Confidence of employers/candidates
- Evolution of leverage
- 2Q26 results on August 6th

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 MOST 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Economic soft landing leading to sudden improvement in employer/candidate confidence and associated recovery in staffing market
- Pricing sticking close to all-time high due to talent scarcity
- Quick turnaround of Akkodis and European staffing

RISKS TO DOWNSIDE

- Macro data decelerating
- Trade tensions
- Elevated Leverage
- Competitive pressure from online rivals
- AI job destruction leading to volume/pricing pressure

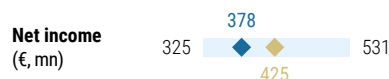
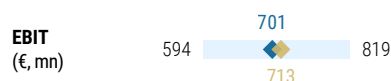
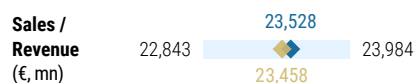
OWNERSHIP POSITIONING

Inst. Owners, % Active	52.6%				
HF Sector Long/Short Ratio	3.1x				
HF Sector Net Exposure	34.7%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Randstad NV (RAND.AS)

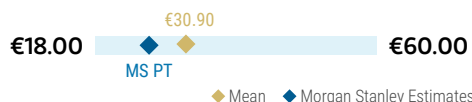
Better margin momentum, lower leverage

PRICE TARGET €25.50

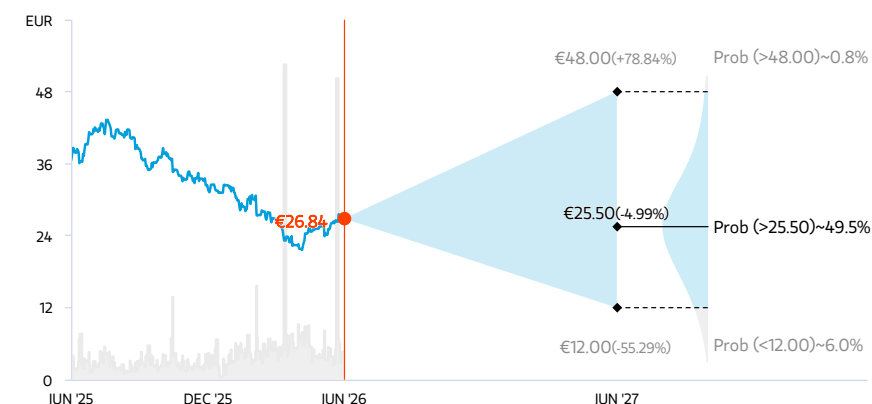
Our price target of €25.5 is based on the rounded average of: 1) DCF €31 based on WACC of 10.5%, terminal growth of +1% and terminal EBITA margin of 3.8%; 2) EV/EBITA target multiple: €19.5 on 7x NTM EBITA, below the historical average of 10x to reflect the uncertain staffing environment and structural risks.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 8 Jun 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

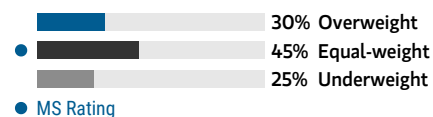
EQUAL-WEIGHT THESIS

■ **Better momentum:** While Randstad has underperformed Adecco, we think it should catch up and benefit from better operating leverage as the group continues to be cost disciplined and deploy its marketplace model.

■ **Structural risk:** We think staffing companies are at risk of being disrupted by AI, including job destruction, higher competition from marketplaces and risk of valuation de-rating.

■ **Valuation:** Randstad trades on 8x EV/EBITA NTM, on our estimates, slightly above key peers Adecco, a premium justified by the lower leverage.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

BULL CASE

€48.00

Confidence rebuilding quickly, no AI impact

We assume 4% organic growth in FY26, which would imply ramp-up in activity from 1Q26 onwards. This is driven by better macroeconomic sentiment and upside from continuous pricing strength due to talent scarcity. This results in improved operational leverage and margins at 3.5% vs. 3.2% in base case for this year. We assume MSD organic growth over the midterm and margin returning to the midpoint of management 5-6% guidance.

BASE CASE

€25.50

Stable environment, AI headwinds to growth

We expect organic growth of 1.1% in FY26e, led by a trough in activity in H1 2026 before a stabilization from 2H26 onwards. We forecast stable operating margin in FY26e at 3.1%, mainly driven by opex savings while gross margin remains under pressure. We forecast 2.5% organic growth and 20bps margin improvement per year over FY27-29, reflecting stable market backdrop combined with mounting AI headwinds.

BEAR CASE

€12.00

AI pressure combined with de-rating

We reflect the impact of (1) continued challenging staffing backdrop and (2) stronger headwinds from AI. We assume organic growth of -3% in FY26 and -5% next year. As a result, EBIT margin declines to 3% this year and 2.5% in 2027. We assume -2% organic growth per year over the midterm and no change in margin as volume/pricing pressures are offset by SG&A reduction thanks to AI-led efficiency gains. We also apply a lower fair value multiple, in line with other AI disrupted stocks.

Risk Reward – Randstad NV (RAND.AS)

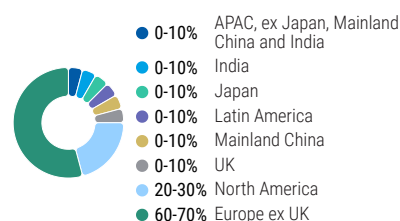
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Organic growth (%)	(3.3)	1.4	2.7	3.0
Gross Margin (%)	18.7	18.4	18.4	18.4
EBITA margin (%)	3.1	3.1	3.3	3.4
Net Debt/EBITDA	1.6	1.7	1.4	1.1

INVESTMENT DRIVERS

- GDP, inflection in PMIs, monthly staffing data
- Confidence of employers/candidates
- 2Q26 results on July 22

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Economic soft landing leads to sudden improvement in employer/candidate confidence and associated recovery in staffing market
- Prices sticking close to all-time high
- Pricing and operating leverage drive an operating margin uplift toward the 5-6% target

RISKS TO DOWNSIDE

- Macro data decelerates
- Trade tensions
- AI job destruction leads to volume/pricing pressure

OWNERSHIP POSITIONING

Inst. Owners, % Active	55.5%				
HF Sector Long/Short Ratio	3.1x				
HF Sector Net Exposure	34.7%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (€, mn)	22,271	23,062	26,768
		23,329	

EBIT (€, mn)	521	717	1,075
		676	

Net income (€, mn)	363	446	774
		467	

EPS (€)	2.06	2.54	4.40
		2.65	

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Hays PLC (HAYS.L)

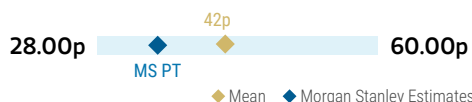
Recent de-rating reflects ST headwinds

PRICE TARGET 35p

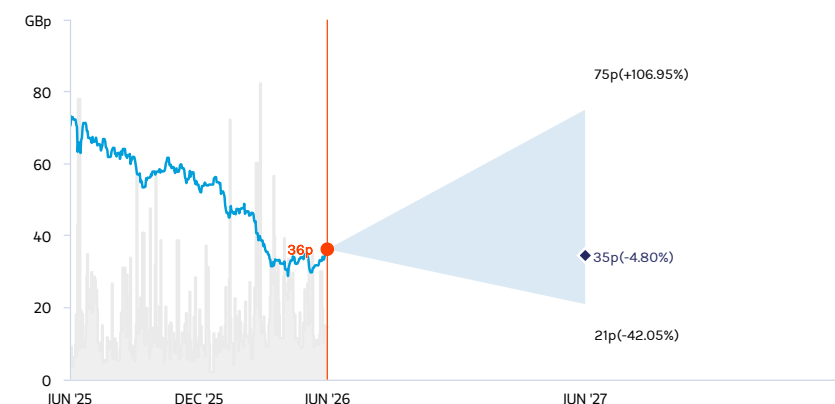
Our price target of 35p is based on an average of: 1) DCF – 48p on a WACC of 11%, terminal growth rate of 1.5% and terminal conversion margin of 15%; and 2) EV/EBITA target multiple – 21p based on 7x NTM EBITA, below the through-cycle average multiple, reflecting short-term uncertainty and structural headwinds.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



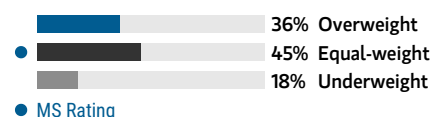
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- **Poor data in Germany/UK:** Weak staffing data in Germany/UK relative to other countries pose a risk for Hays, we believe, but reflected within consensus expectations.
- **Cyclical vs. structural:** The debate on the impact of AI on staffers is likely to emerge sooner or later. In our view, Hays is exposed to the junior-entry white-collar segment, making it subject to potential AI disruptions.
- **Valuation:** The shares trade on 10x NTM EBITA, on our estimates, below the historical average of 12.5x and 50% below peers Page Group.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

BULL CASE

75p

Macro recovery and AI-led efficiency gains

Assumes net fee growth of -5% in FY26 above our base case (-7.7%) and conversion margin hits 4% vs 2.7% in our base case. This is driven by a swift recovery in all geographies in 2H26, supported by a better macroeconomic environment. We model a steeper improvement in organic growth and profitability, assuming no AI-led job destruction. We also apply a higher fair value multiple, aligned with the average through the last cycle.

BASE CASE

35p

Challenging 2026, lower mid-term growth outlook

We forecast organic growth to decline by -7.7% in FY26, led by an uncertain macro/political environment and reflecting continued challenges in 2H26. Conversion margins slightly improve, with cost-saving initiatives offsetting operating deleverage. We expect mid-single-digit organic net fee growth, lower than during the previous cycle to reflect structural headwinds. We expect conversion margin to return to 11% by FY29.

BEAR CASE

21p

Unsupportive macro & AI disruption

Assumes organic net fee decline of -9% in FY26 and a conversion margin of 1.5%. This reflects the impact of another reduction in staffing volume across EMEA and lack of recovery elsewhere. We factor in LSD negative net fee growth over FY27-29 and no growth thereafter due to AI-led job destruction. We still assume a profitability improvement, but at a slower pace due to limited operating leverage and lack of pricing power. We also apply a fair value multiple aligned with AI-disrupted stocks.

Risk Reward – Hays PLC (HAYS.L)

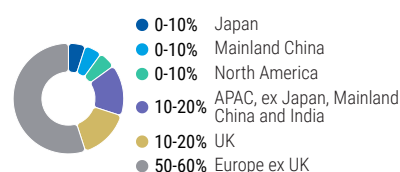
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Organic growth (%)	(11.0)	(7.7)	0.3	4.8
Conversion Margin (%)	4.7	4.9	5.6	8.5
Excess Cash (£m)	(63.0)	(71.7)	(58.8)	(32.4)

INVESTMENT DRIVERS

- GDP, inflection in PMIs, monthly staffing data
- Confidence of employers/candidates
- German macroeconomic backdrop
- 3Q26 trading update on July 10

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Improved visibility around growth inflection
- More resilient German market than anticipated / turnaround in Australia
- Fee rates remaining elevated
- Management delivering on promised profitability improvement

RISKS TO DOWNSIDE

- European recession and lack of recovery elsewhere
- Significant deterioration in Hays' contracting business in Germany
- Normalisation of fee rates
- AI disruption

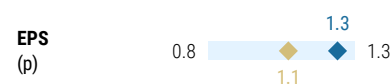
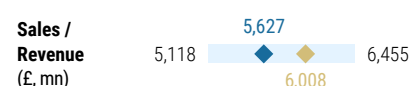
OWNERSHIP POSITIONING

Inst. Owners, % Active	84.7%	
HF Sector Long/Short Ratio	3.1x	
HF Sector Net Exposure	34.7%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jun 2026e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Page Group PLC (PAGE.L)

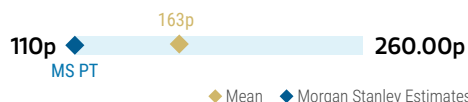
Consensus too ambitious; Underweight

PRICE TARGET 110p

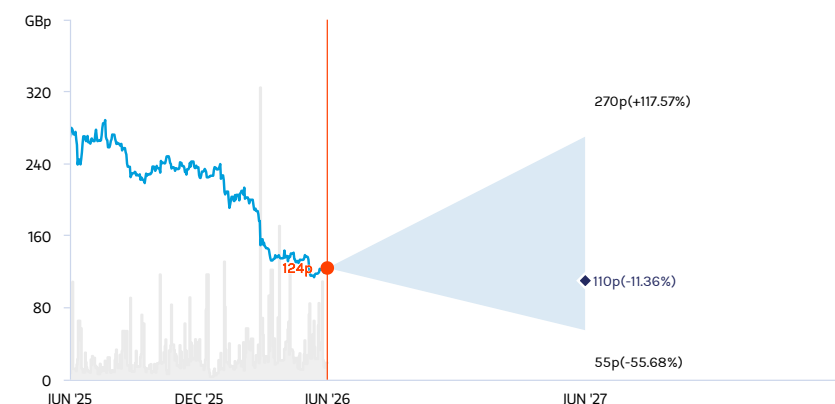
Our price target of 110p is based on an average of: 1) DCF – 175p based on a WACC of 12%, terminal growth rate of +1.5% and terminal conversion margin of 15%; and 2) EV/EBITA target multiple – 45p based on 7x NTM EBITA, below the through-cycle average multiple, reflecting short-term uncertainty and structural risks.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



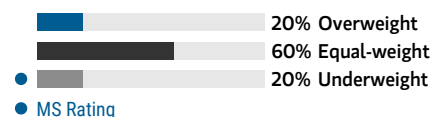
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

UNDERWEIGHT THESIS

- **Europe still a drag:** While North America is now experiencing better momentum, we do not see an immediate path for improvement in Europe (c55% of Page gross profit); we believe 2026 consensus is too ambitious.
- **AI risk:** While Page Group is less exposed to lower-salary white-collar recruitment, its large perm activity creates risk of AI disintermediation, in our view.
- **Valuation:** The shares trade on 15x NTM EBITA, on our estimates, above the historical average of 14x.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

BULL CASE

270p

Macro improves, no negative AI impact

Assumes gross profit organic growth of 3% in FY26 above our base case (flat) and conversion margin hits 6% vs 3% in our base case. This is driven by a swift recovery in all geographies in the short term, supported by a better macroeconomic environment. We model a steeper improvement in organic growth and profitability, assuming no AI-led job destruction. We also apply a higher fair value multiple, aligned with the average through the last cycle.

BASE CASE

Perm remains weak, AI headwinds

In our base case, we incorporate the impact of a challenging but stable macro backdrop through the first half of 2026 before a gradual stabilization materializes in the second half. However, this implies perm recruitment remains subdued through the rest of 2026. We -2.8% organic growth and conversion rate at 3% in FY26. We see a gradual recovery from 2H26 onwards for both organic growth and margin, although at a slow pace due to weak perm and AI-related headwinds.

110p

BEAR CASE

55p

Challenging macro, AI headwinds mounting

Assumes organic gross profit decline of -5% in FY26 and a conversion margin of 2%. We factor in low-single-digit negative net fee growth over FY26-29 on average and no growth thereafter due to AI-led job destruction. We still expect a profitability improvement, but at a slower pace than in our base case due to limited operating leverage and lack of pricing power. We also apply a fair value multiple aligned with AI-disrupted stocks.

Risk Reward – Page Group PLC (PAGE.L)

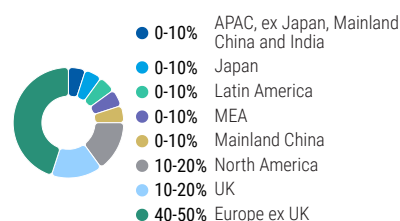
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Organic growth (%)	(7.8)	(2.8)	0.4	3.6
Conversion Margin (%)	4.7	3.0	3.9	6.5
Excess Cash (£m)	(48.6)	(71.7)	(79.4)	(75.4)

INVESTMENT DRIVERS

- GDP, inflection in PMIs, monthly staffing data
- Confidence of employers/candidates
- Improvement in the overall economic outlook in Europe
- 2Q26 trading update on July 13

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Improved visibility around growth inflection
- More resilient European economic environment, leading to a swift recovery
- Fee rates remaining elevated due to lasting talent scarcity

RISKS TO DOWNSIDE

- Economic slowdown driven by European recession
- Sudden normalisation in fee rates adding to the volume headwinds
- Compression of conversion margin as growth unwinds
- Job destruction and disintermediation risk due to AI

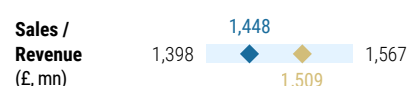
OWNERSHIP POSITIONING

Inst. Owners, % Active	88.9%				
HF Sector Long/Short Ratio	3.1x				
HF Sector Net Exposure	34.7%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared or are disseminated by Morgan Stanley Europe S.E., regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) and/or Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority. Morgan Stanley & Co. International plc disseminates in the UK research that it has prepared, and which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. As used in this disclosure section, Morgan Stanley includes RMB Morgan Stanley Proprietary Limited, Morgan Stanley Europe S.E., Morgan Stanley & Co International plc and its affiliates.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Remi Grenu; Annelies Vermeulen.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

As of April 30, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: Azelis, Brenntag SE, Bunzl PLC, Bureau Veritas SA, DCC Plc, Diploma PLC, Experian PLC, Hays PLC, IMCD NV, Intertek Group PLC, ISS A/S, Page Group PLC, Randstad NV, Rentokil Initial PLC, RS Group PLC, SPIE, Sunbelt Rentals Inc., TP, Travis Perkins PLC.

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of Elis SA, ISS A/S, Verisure PLC.

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from Verisure PLC.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Adecco Group, Azelis, Brenntag SE, Bunzl PLC, Bureau Veritas SA, DCC Plc, Diploma PLC, Elis SA, Eurofins Scientific SE, Experian PLC, Hays PLC, IMCD NV, Intertek Group PLC, ISS A/S, Randstad NV, Rentokil Initial PLC, RS Group PLC, Securitas AB, SPIE, Sunbelt Rentals Inc., TP, Travis Perkins PLC, Verisure PLC.

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from Brenntag SE, DCC Plc, Elis SA, Experian PLC, ISS A/S, Randstad NV, Rentokil Initial PLC, SPIE, Verisure PLC.

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Adecco Group, Azelis, Brenntag SE, Bunzl PLC, Bureau Veritas SA, DCC Plc, Diploma PLC, Elis SA, Eurofins Scientific SE, Experian PLC, Hays PLC, IMCD NV, Intertek Group PLC, ISS A/S, Randstad NV, Rentokil Initial PLC, RS Group PLC, Securitas AB, SPIE, Sunbelt Rentals Inc., TP, Travis Perkins PLC, Verisure PLC.

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: Adecco Group, Brenntag SE, DCC Plc, Elis SA, Experian PLC, ISS A/S, Randstad NV, Rentokil Initial PLC, SPIE, TP, Verisure PLC. Morgan Stanley & Co. LLC makes a market in the securities of Ferguson Enterprises Inc.

Morgan Stanley & Co. International plc is a corporate broker to Diploma PLC.

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of May 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated

and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures. For Morgan Stanley specific disclosures, you may refer to <https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch>.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (<http://www.morganstanley.com/terms.html>). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (<http://www.morganstanley.com/terms.html>). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use

the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research. Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V. which is regulated by Comisión Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. ALL recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 149169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section

21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products.

Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

INDUSTRY COVERAGE: Business Services

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/08/2026)
Annelies Vermeulen		
Azelis (AZE.BR)	E (09/10/2025)	€10.22
Brenntag SE (BNRGn.DE)	U (01/06/2026)	€54.84
Bunzl PLC (BNZL.L)	E (01/12/2024)	2,494p
Bureau Veritas SA (BVI.PA)	O (01/27/2025)	€25.32
DCC Plc (DCC.L)	++	5,975p
Diploma PLC (DPLM.L)	O (09/06/2023)	7,060p
Elis SA (ELIS.PA)	O (06/09/2020)	€25.80
Experian PLC (EXP.N.L)	O (07/08/2022)	2,639p
Ferguson Enterprises Inc (FERG.L)	O (01/09/2025)	16,950p
Ferguson Enterprises Inc (FERG.N)	O (02/03/2025)	US\$229.58
IMCD NV (IMCD.AS)	E (01/06/2026)	€87.20
Intertek Group PLC (ITRK.L)	++	5,570p
Rentokil Initial PLC (RTO.L)	O (01/06/2026)	445p
RS Group PLC (RS1R.L)	O (01/06/2026)	641p
SGS SA (SGSN.S)	E (01/06/2026)	SFr 89.60
Sunbelt Rentals Inc. (SUNB.L)	O (07/08/2022)	6,046p
Sunbelt Rentals Inc. (SUNB.N)	O (03/13/2026)	US\$79.36
Travis Perkins PLC (TPK.L)	E (07/08/2022)	537p
Verisure PLC (VSURE.ST)	O (11/18/2025)	€10.87
Remi Grenu		
Adecco Group (ADEN.S)	U (06/09/2026)	SFr 16.58
Eurofins Scientific SE (EUFI.PA)	E (04/30/2025)	€64.88
Hays PLC (HAYS.L)	E (06/09/2026)	36p
ISS A/S (ISS.CO)	O (01/06/2026)	DKr 253.00
Page Group PLC (PAGE.L)	U (12/03/2025)	124p

Randstad NV (RAND.AS)	E (06/09/2026)	€26.84
Securitas AB (SECUB.ST)	U (10/25/2024)	SKr 155.40
SPIE (SPIE.PA)	O (04/08/2026)	€47.82
TP (TEPRF.PA)	E (03/24/2026)	€58.66

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.

© 2026 Morgan Stanley